
CA INTER MAY/SEP 26/JAN 27
GST
PAYMENT OF
TAX (PART-1)
PRACTICE SESSION

Chapter 13: Payment of Tax

Illustration 01

State the order in which every taxable person discharges his tax and other dues under GST law, as provided under section 49 of the CGST Act, 2017

[RTP May 23]

Solution

Section 49 of the CGST Act, 2017 stipulates that every taxable person shall discharge his tax and other dues under the GST law in the following order, namely:–

a) self-assessed tax, and other dues related to returns of previous tax periods;
b) self-assessed tax, and other dues related to the return of the current tax period;
c) any other amount payable under this Act or the rules made thereunder including the demand determined under section 73 or section 74.

Illustration 02

Mr. Manik provides the following information regarding his tax & other liabilities under GST law as per Electronic Liability Register:

Sr. No.	Particulars	Amount
1.	Tax due for the month of May	25,000
2.	Interest due for the month of May	2,000
3.	Penalty due for the month of May	3,000
4.	Tax due for the month of June	35,000
5.	Liability arising out of demand notice u/s 73	48,000

Mr. Manik wants to clear his liability of demand notice u/s 73 first.
Discuss the provision of order of discharge of GST liability u/s 49 (8) of the CGST Act & advice to Mr. Manik.

[PYQ May 23]

Solution

The order of discharge of GST liability under section 49(8) of the CGST Act is as under:

1. self-assessed tax, interest, penalty, fee or any other amount related to returns of the previous tax periods.
2. self-assessed tax, interest, penalty, fee or any other amount related to returns of the current tax period.
3. any other amount payable including demand determined under section 73 or section 74,

In view of the above provisions, Mr. Manik cannot clear his liability of demand notice u/s 73 first.

The order of discharge of liability of Mr. Manik will be as under:

1. Tax, interest and penalty for the month of May, 30,000
2. Tax due for the month of June, 35,000
3. Liability arising out of demand notice u/s 73, 48,000

Illustration 03

Discuss whether the amount available in the electronic credit ledger can be used for making payment of any tax under the GST Laws?

[MTP May 24]

Solution

The amount available in the electronic credit ledger may be used for making any payment towards output tax under the CGST Act or the IGST Act, subject to the provisions relating to the order of utilization of ITC.

Further, output tax in relation to a taxable person is defined as the tax chargeable on taxable supply of goods or services or both but excludes tax payable on reverse charge mechanism.

Accordingly, it is clarified that any payment towards output tax, whether self-assessed in the return or payable as a consequence of any proceeding instituted under the provisions of GST laws, can be made by utilization of the amount available in the electronic credit ledger of a registered person.

It is further reiterated that as output tax does not include tax payable under reverse charge mechanism, implying thereby that the electronic credit ledger cannot be used for making payment of any tax which is payable under reverse charge mechanism.

Illustration 04

Mr. Atul of Chennai is a registered dealer under GST. He has an opening balance of input tax credit of 1,20,000 (IGST) lying in the electronic credit ledger relating to the month of November,2025. During the month, a legal proceeding has been initiated under the GST law which resulted in a tax liability of 80,000 (IGST, other than RCM liability). Mr. Atul agrees with the tax liability and wants to use the balance lying in the electronic credit ledger towards payment of same.

He seeks your opinion with regard to the provisions of GST laws as to whether he is allowed to use the amount lying in the electronic credit ledger for making the payment of tax liability, payable as a consequence of the proceeding?

[PYQ Nov 23]

Solution

The amount available in the electronic credit ledger of IGST may be used for making any payment towards tax under the CGST Act or the SGST Act or the IGST Act other than tax payable under reverse charge .

It is clarified that any payment towards output tax, payable as a consequence of any proceeding instituted under the provisions of GST laws, can be made by utilization of the amount available in the electronic credit ledger of a registered person.

Thus, Mr. Atul is allowed to use the credit of IGST in electronic credit ledger for making payment of tax liability of 80,000, payable as a consequence of the legal proceeding.

Illustration 05

Craftmodel Limited, a registered dealer in Patna (Bihar), is engaged in various types of supplies. It is not engaged in renting of cars business. The company provided the following details for the month of January, 2025.

Additional Information:

a) All the amounts given above are exclusive of taxes, wherever applicable
b) During the course of arranging and filing documents, the Accountant of Craftmodel Limited observed that an invoice for ₹ 30,000 (excluding tax) dated 2nd December, 2023 was omitted to be recorded in the books of accounts and no payment was made against the same till the end of January, 2025. This invoice was issued by Mr.

Rahuketu of Patna, from whom Craftmodel Limited had taken cars on rental basis. Invoice included cost of fuel also

c) Regarding pledging of shares, the face value of shares is ₹ 5,00,000. The market value of shares is ₹ 8,00,000

d) Rate of GST applicable on various supplies are as follows:

Nature of supply	CGST	SGST	IGST
Car rental service	2.5%	2.5%	5%
Transportation of passengers by air	2.5%	2.5%	5%
All other inward and outward supplies	9%	9%	18%

e) No opening balance of input tax credit exists in the beginning of the relevant tax period.

f) Subject to the information given above, conditions necessary for claiming ITC were complied with.

You are required to calculate the amount of net GST liability payable in cash by Craftmodel Limited for the month of January, 2025.

[RTP Sep 2024]

Solution

Computation of net GST payable in cash by Craftmodel Ltd. for the month of January,2025

Particulars	CGST(₹)	SGST(₹)	IGST(₹)
Outward intra-State supply of goods made in the State of Bihar. [Value of supply is the transaction value of the goods.]	36,000	36,000	
Outward supply of goods made to other States. [Value of supply is the transaction value of the goods]			1,08,000
Pledging of 5% equity shares to the merchant banker [Supply includes supply of goods and services. Shares being securities are neither goods nor services. Thus, transfer of shares which is neither goods nor services is not a supply.]			Nil
Intra-State stock transfer to Gaya Branch with no separate registration. [Stock transfer between 2 units of a legal entity under single registration is not a deemed supply under GST and hence, the same is not liable to tax under GST since branch with same GSTIN is not a distinct person.]	-	-	
Services of milling of paddy into rice. [Milling of paddy into rice cannot be considered as an intermediate production process in relation to cultivation of plants for food, fibre or other similar products or agricultural produce. Thus, it is not eligible for exemption.]	18,000	18,000	
Services of giving trucks on hire to a Governmental authority [Services by way of giving motor vehicles on hire to a Governmental authority are taxable.]	13,500	13,500	
Total output tax	67,500	67,500	1,08,000
Less: Input Tax Credit [Refer Working Note below]			(90,000)

IGST credit should first be utilized towards payment of IGST			
ITC of CGST should be utilized for payment of CGST and IGST in that order. ITC of CGST cannot be utilized for payment of SGST	(67,500) CGST		(18,000) CGST
ITC of SGST should be utilized for payment of SGST and IGST in that order. However, ITC of SGST should be utilized for payment of IGST, only after ITC of CGST has been utilized fully. ITC of SGST cannot be utilized for payment of CGST.		(67,500) SGST	
Minimum Net GST payable in cash	NIL	NIL	NIL
ITC balance to be carried forward next month	-	18000	-

Working Note :-

Computation of ITC Available

Particulars	CGST(₹)	SGST(₹)	IGST(₹)
Intra-State inward supply of services used in the course of business. [ITC cannot be availed by a registered person in respect of invoices, the details of which have not been furnished by the supplier in GSTR-1.]	85,500	85,500	-
Training course organized by IIM, Gujarat. [Not exempt. Short duration programmes offered by IIMs for which participation certificate is awarded are not 'qualification recognized by law'. ITC is available in respect of supply of services which are used in the course or furtherance of his business. Further, the place of supply of services in relation to training and performance appraisal to a registered person, shall be the location of such person. Thus, place of supply is Patna (Bihar). Further, where the location of the supplier and the place of supply are in two different States, it shall be treated as inter-State supply of services.	-	-	90,000
Air tickets from Patna to Guwahati [Transport of passengers by air terminating in an airport located in Assam is exempt from GST as said transportation is in economy class.]	-	-	-
Cars taken on rental basis from Mr. Rahuketu. [Tax on renting of motor car services wherein cost of fuel is included in consideration provided by a non-body corporate to a body corporate and CGST/SGST is charged @ 2.5% each, is payable under reverse charge. Time of supply of such services is 1st February being earlier of date of payment, or date immediately following 60 days since issue of invoice by the	-	-	-

supplier. Since the time of supply of renting of motor car services in the given case does not fall in January, 2024, tax liability on the same does not arise in said month. Further, ITC on renting of motor car services received is blocked since the recipient - Craftmodel Ltd. is not in the same line of business]			
Total ITC available	85,500	85,500	90,000

Illustration 06

Mutiservices Private Ltd., registered in Punjab, is engaged in supplying a variety of services. Its turnover was ₹ 35 lakh in the preceding financial year. It has provided the following information for the month of April:

Particulars	Amount
Fee for the coaching provided to students for competitive exams. The coaching centre is run by Mutiservices Private Ltd. in Punjab (Intra-State transaction)	6,24,000
Receipts for services provided in relation to conduct of examination in Pureit University, Delhi (providing education recognized by Indian law), being an inter-State transaction	19,200
Amount received for transportation of students and faculty from their residence to Lotus Public School - a higher secondary school – and back (Intra-State transaction)	24,000
Amount received for providing the security and housekeeping services in Dhaani Public School – a pre-school (Intra-State transaction)	36,000

Note: Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively.

All the amounts given above are exclusive of taxes. Compute the total GST liability of Multi-services Private Ltd. for the month of April.

[RTP Nov 2020]

Solution

Computation of net GST liability of Multi-services Private Ltd. for the month of April

Particulars	Value of Supply (₹)	CGST(₹)	SGST(₹)	IGST(₹)
Fee for the coaching provided to students for competitive exams [Note-1]	6,24,000	56,160	56,160	-
Services towards conduct of examination in Pureit University, Delhi [Note-2]	19,200	-	-	-
Services of transportation of students and faculty from their residence to Lotus Public School and back [Note-3]	24,000	-	-	-
Security and housekeeping services in Dhaani Public School [Note-4]	36,000	-	-	-
Total GST liability		56,160	56,160	-

Notes :-

1. Coaching centre run by Muti-services Private Ltd. is not an educational institution since competitive exam coaching does not lead to grant of a qualification recognized by law. Therefore, fee received for coaching provided at such coaching centre is taxable.

2. Since Pureit University provides qualification recognized by law, it is an educational institution and services provided to an educational institution, in relation to conduct of examination by such institution are exempt from GST.
3. Since Lotus Public School provides education up to higher secondary school, it is an educational institution and services of transportation of students, faculty and staff provided to an educational institution are exempt.
4. Since Dhaani Public School provides pre-school education, it is an educational institution. Security and housekeeping services provided within the premises of an educational institution are exempt.

Illustration 07

'XY' of Kolkata is engaged in supply of various goods and services. It pays GST under regular scheme. The following information is provided by it for the month of July:

Payments	Amount	Receipts	Amount
Inter-State purchases of office stationery	1,40,000	Inter-State supply of office stationery	2,00,000
Repairing of lorry used to transport goods from warehouse to clients' location [Intra-State supply]	1,00,000	Intra-State supply of 500 combi packs containing one calculator and one diary	4,00,000
		Intra-State supply of services of business correspondent to Shubhvidhi Bank with respect to accounts in its urban area branch	1,00,000

The following additional information is provided by 'XY' in relation to the above receipts and payments:

1. 10% of the inter-State supply of office stationery are made to unregistered persons.
2. Each combi pack (containing a calculator and a diary) is priced at ₹ 800. The calculator and the diary are individually priced at ₹ 700 and ₹ 200 respectively.
3. An invoice of ₹ 40,000 towards purchase of office stationery is missing and no other tax paying document is available in respect of such goods.
4. All the figures mentioned above are exclusive of taxes, wherever applicable.
5. Rates of CGST, SGST and IGST for all services, office stationery and calculator are 9%, 9% and 18% respectively. Rates of CGST, SGST and IGST for diary are 14%, 14% and 28% respectively.
6. Subject to the information given above, all the necessary conditions for availing input tax credit have been fulfilled.

Details of opening balances of input tax credit as on 1st July is given hereunder:

Tax	Amount (₹)
CGST	5,000
SGST	5,000
IGST	80,000

Compute the minimum net GST [CGST, SGST or IGST, as the case may be] payable in cash by 'XY' for the month of July.

[RTP

Nov 2020]

Solution

Computation of minimum net GST payable in cash by 'XY' for the month of July

Particulars	Value (₹)	CGST(₹)	SGST(₹)	IGST(₹)
Total tax liability				
Inter-State supply of stationery [Note 1]	2,00,000			36,000
Intra-State supply of 500 combi packs of calculators and diaries [Note-2]	4,00,000	56,000	56,000	
Intra-State supply of services of business correspondent to a Shubhvidhi Bank with respect to accounts in its urban area branch [Note-3]	1,00,000	9,000	9,000	
Total tax liability		65,000	65,000	36,000
Input tax credit (ITC)				
Brought forward ITC		5,000	5,000	80,000
Inter-State purchase of office stationery [Note-4]	1,00,000			18,000
Intra-State repairing of lorry used for transportation of goods [Note-5]	1,00,000	9,000	9,000	
Total ITC		14,000	14,000	98,000
Minimum net GST payable in cash				
Total tax liability		65,000	65,000	36,000
IGST credit being set off against IGST liability				(36,000)
IGST credit being used to pay CGST and SGST liability in any order and in any proportion		(11000)	(51000)	
CGST and SGST credit being used to pay CGST and SGST liability respectively		(14,000) CGST	(14,000) SGST	
Minimum net GST payable in cash		40,000	Nil	Nil

Notes:-

1. Taxable supplies made by a registered person are liable to tax irrespective of whether they are made to a registered person or to an unregistered person.
2. Supply of calculator and diary as a combi pack with a single price of ₹ 800 is a mixed supply. Being a mixed supply comprising of two supplies, it shall be treated as supply of that particular supply which attracts highest rate of tax.
3. Services provided by a business facilitator/ business correspondent to a banking company only with respect to accounts in its rural area branch are exempt and not with respect to accounts in its urban area branch .
4. ITC can be taken only on the basis of a valid tax paying document. Thus, ITC will not be available on goods for which the invoice is missing.
5. ITC on motor vehicles used for transportation of goods is allowed. Further, ITC is allowed on repair and maintenance services relating to motor vehicles, ITC on which is allowed.

Note: *IGST credit, after being set off against IGST liability, can be utilised against CGST and SGST liability in any order and in any proportion. Thus, there cannot be one answer for the minimum net CGST and SGST payable in cash as the amount of CGST and*

SGST liabilities are the same as also the amount of ITC for CGST and SGST is also the same

Illustration 08

Suhasini is a registered software consultant. On account of her ill health, she could not provide any services during the month of October. However, she had to incur all the expenses relating to her office. She paid ₹ 75,000 to various vendors. Total GST involved on the goods and services procured by her is ₹ 13,500. Out of the total bills paid by her, one bill for ₹ 15,000 relates to security services availed for security of her office, tax on which is payable under reverse charge. GST involved in such bill is ₹ 2,700.
Suhasini is of the opinion that for the month of October, no GST is payable from electronic cash ledger as she has sufficient balance of ITC for payment of GST under reverse charge on security services.
Do you think Suhasini is right? Explain with reasons.

[RTP Nov 2020]

Solution

The amount available in the electronic credit ledger, i.e. input tax credit may be used for making any payment towards output tax. Output tax, in relation to a taxable person, means the tax chargeable on taxable supply of goods or services or both made by him or by his agent but excludes tax payable by him on reverse charge basis.
Therefore, input tax credit cannot be used to pay the tax liability under reverse charge. The same is always required to be paid through electronic cash ledger and not electronic credit ledger. Thus, Suhasini is wrong and she should pay GST of ₹ 2,700 on security service through electronic cash ledger.

Illustration 09

ABC Ltd., a registered supplier in Surat, Gujarat has calculated output net GST liability after adjusting ITC in the books for the month of February:
CGST : ₹ 3,00,000
SGST : ₹ 2,50,000
IGST : ₹ 3,00,000
During the above month, the following additional information is provided by ABC Ltd.:

S. No.	Particulars	Amount (excluding GST) ₹
1.	The company had given on hire 5 trucks to one of the transporters of Vadodara (a goods transport agency) for transporting goods for 10 days. The hiring charges for the trucks were ₹ 7,500 per truck per day	3,75,000
2.	The company sold goods to X & Co. of Delhi on 6th January 2021 with a condition that interest @ 2% per month will be charged on invoice value if X & Co. failed to make payment within 30 days of the delivery of the goods. Goods were delivered and also the invoice was issued on 6th January. X & Co. paid the consideration for the goods on 20th February along with applicable interest.	5,00,000

3.	The company sought legal consultancy services for it's business from A & Advocates, a partnership firm of advocates situated at Bhuj, Gujarat.	1,50,000
4.	The company ordered 3,000 packets of tools which are to be delivered by the supplier of Delhi via 3 lots of 1,000 packets monthly. The supplier raised the invoice for full quantity in February and the last lot would be delivered in April.	5,00,000
5.	The company supplied 10,000 packets of tools to one of it's customer at ₹ 10/- per packet in Gujarat in January. Afterwards, the company re-values it at ₹ 9 per packet in February and the company issued credit note to the customer for ₹ 1 per packet.	

The rate of GST is 9% CGST, 9% SGST and 18% IGST.
You are required to compute the actual net liability of GST to be paid in cash along with working notes for the month of February.

[PYQ Nov 21]

Solution

Computation of net GST liability of ABC Ltd. to be paid in cash for February

Particulars	Value (₹)	CGST (₹)	SGST (₹)	IGST (₹)
Net output GST liability as given		3,00,000	2,50,000	3,00,000
Add: Trucks given on hire to GTA [Services by way of giving a means of transportation of goods on hire to a goods transport agency are exempt.]	3,75,000	-	-	-
Add: Interest on delayed payment of 15 days (6th Feb to 20th Feb)	5,900 [5,90,000 × 2% × 15/30]	-	-	900
Total output tax liability		3,00,000	2,50,000	3,00,900
Less: ITC in respect of legal services paid as reverse charge is available	1,50,000	(13,500) [1,50,000 × 9%]	(13,500) [1,50,000 × 9%]	
Net output tax liability (A)		2,86,500	2,36,500	3,00,900
Legal consultancy services received(B) [Tax is payable under reverse charge on legal services received by a business entity3 from a partnership firm of advocates. Further, tax payable under reverse charge, being not an output tax, cannot be set off against ITC and thus, will have to be paid in cash.]	1,50,000	13,500 [1,50,000 × 9%]	13,500 [1,50,000 × 9%]	
Total GST payable in cash [(A) + (B)]		3,00,000	2,50,000	3,00,900

Notes:

a) ITC on goods received in lots is available on receipt of last lot. Hence, ITC on tools received will not be available in February.

b) Since discount given by ABC Ltd. on the packets of tools was not known at

the time of supply, it shall not be excluded from its value of supply

Illustration 10

M/s. Flow Pro, a registered supplier, is engaged in manufacturing heavy steel fabrication machine. The details pertaining to pricing of each such machine is as follows:

S. No.	Particulars	Amount
1.	Price of the machine [excluding taxes and other charges mentioned at S. Nos. (ii) and (iii)]	25,00,000
2.	Third party inspection charges [Such charges were payable by M/s Flow Pro but the same have been directly paid by BP Ltd. to the inspection agency. These charges were not recorded in the invoice issued by M/s Flo Pro.]	5,00,000
3.	Freight charges for delivery of the machine [M/s Flow Pro has agreed to deliver the goods at BP Ltd.'s premises]	2,00,000
4.	Subsidy received from the State Government on sale of machine under Skill Development Programme [Subsidy is directly linked to the price]	5,00,000
5.	Discount of 2% is offered to BP Ltd. on the price mentioned at S. No. (i) above and recorded in the invoice	

Note: Price of the machine is net of the subsidy received.

M/s. Flow Pro has supplied one such machine in the month of October. It also provided the following details pertaining to the purchases made/services availed during said month:

S. No.	Inward supplies	IGST	Remarks
1.	Inputs 'A'	1,00,000	One invoice on which IGST payable was 10,000, is missing
2.	Inputs 'B'	50,000	Inputs are to be received in two lots. First lot has been received in October
3.	Capital goods	1,20,000	M/s. Flow Pro has capitalized the capital goods at full invoice value inclusive of GST as it will avail depreciation on the full invoice value.
4.	Input services	2,25,000	One invoice dated 20th January of preceding financial year on which GST payable was ₹ 50,000 was missing and has been found in October

Compute the net GST payable in cash by M/s. Flow Pro for October assuming that all the inward supplies are inter-State supplies and all outward supplies are intra-State supplies. Assume the rates of taxes to be as under:

Particulars	Rates of tax
Central tax (CGST)	9%
State Tax (SGST)	9%
Integrated tax (IGST)	18%

Make suitable assumptions, wherever necessary. All the conditions necessary

for availing the ITC have been fulfilled. Opening balance of the input tax credit for the relevant period is Nil. The annual return for the previous financial year was filed on 15th September of the current year.

[MTP May 23]

Solution

Computation of net GST payable by Prithviraj Pvt. Ltd. for the month of July

Particulars	CGST	SGST
GST payable on outward supplies (Refer Working note – 1)	2,83,500	2,83,500
Less: ITC (Refer Working note – 2) [ITC of IGST can be utilised for payment of CGST and SGST in any proportion and in any order.]	1,32,500	1,32,500
Net GST payable in cash	1,51,000	1,51,000

Note: ITC of IGST can be utilised towards payment of CGST and SGST in any proportion and in any order. Therefore, there can be multiple ways of setting off of IGST credit against CGST and SGST liability and accordingly, in the given case, amount of net GST payable in cash under the heads of CGST and SGST will vary. However, total amount of net GST payable in cash will be 3,02,000 in each case

Working note – 1

Computation of GST payable on outward supply made by M/s. Flo Pro for the month of July

Particulars	Amount
Price of the machine [Since the subsidy is received from the State Government, the same is not includible in the value of supply in terms of section 15(2)(e)]	25,00,000
Third party inspection charges [Any amount that the supplier is liable to pay in relation to the supply but has been incurred by the recipient and not included in the price actually paid or payable for the goods, is includible in the value of supply in terms of section 15(2)(b)]	5,00,000
Freight charges for delivery of the machine [Since arranging freight is the liability of supplier, it is a case of composite supply and thus, freight charges are added in the value of principal supply.]	2,00,000
Total	32,00,000
Less: Discount @ 2% on 25,00,000 being price charged to BP Ltd. [Discount given before or at the time of supply if duly recorded in the invoice is deductible from the value of supply in terms of section 15(3)(a)]	50,000
Value of taxable supply	31,50,000
GST payable on outward supplies CGST @ 9% SGST @ 9% [Since all the outward supplies are intra-State supplies, CGST and SGST	 2,83,500 2,83,500

are payable on the same.]	

Working note – 2

Computation of ITC available with M/s Flow Pro for the month of July

S.No.	Inward supplies	ITC
1.	Inputs 'A' [ITC cannot be taken on missing invoice. The registered person should have the invoice in its possession to claim ITC.]	90,000
2.	Inputs 'B' [When inputs are received in lots, ITC can be availed only on receipt of last lot.]	Nil
3.	Capital goods [Input tax paid on capital goods cannot be availed as ITC, if depreciation has been claimed on such tax component.]	Nil
4.	Input services [ITC on an invoice cannot be availed after 30th November following the end of financial year to which such invoice pertains or the date of filing annual return, whichever is earlier. Since the annual return for the previous financial year has been filed on 15th September, ITC on the invoice pertaining to previous financial year cannot be availed after 15th September.]	1,75,000
	Total ITC (IGST)	2,65,000

Note - CGST @ 9% and SGST @ 9% are payable on the outward supplies since they are intra-State supplies and IGST @ 18% is payable on the inward supplies since they are inter-State supplies

Illustration 11

M/s. ABC & Co., a chartered accountancy firm, has its office in Bengaluru and is registered under GST in the State of Karnataka. It submitted the following information for the month of April:

Sr. No.	Particulars	Amount of services provided excluding GST
1.	Statutory audit services provided (intra-State supplies)	1,20,000
2.	ITR filing services provided within Karnataka (intra-State supplies)	1,60,000
3.	Internal audit services provided to Mumbai client (inter-State supplies)	1,80,000

M/s. ABC & Co. had also incurred the following expenses in the month of April for the purpose of providing the taxable services:

S.No.	Particulars	CGST	SGST
1.	Car purchased by firm for the use of senior partner of the firm for official use	42,000	42,000
2.	Office rent paid to landlord who is registered in State of Karnataka	450	450
3.	Professional fee paid to Mr. Rajesh, a practicing	18,000	18,000

	Chartered Accountant, for professional services availed [TDS of 20,000 is deducted under section 194J of the Income-tax Act, 1961]		
4.	Computer purchased for office purpose	3,000	3,000

Out of the above 4 suppliers/service providers, landlord of office to whom rent was paid did not upload his GSTR-1 within the specified time allowed under GST resulting in the GST amount not being reflected in GSTR-2B of M/s. ABC & Co.
Compute the net GST payable in cash by M/s. ABC & Co. for the month of April.
Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively assuming that all the remaining conditions of utilization of ITC are fulfilled.

[MTP May 23]

Solution

Computation of net GST payable by ABC & Co. for the month April

Particulars	Value of supply	CGST	SGST	IGST
Statutory audit services	1,20,000	10,800	10,800	
ITR filing services	1,60,000	14,400	14,400	
Internal audit services	1,80,000	-	-	32,400
Total output tax liability		25,200	25,200	32,400
Less: ITC [Refer Working Note] [CGST credit is set off against CGST liability and SGST credit is set off against SGST liability since CGST credit cannot be utilized towards payment of SGST liability and vice versa.]		(21,000)	(21,000)	
Net GST payable		4,200	4,200	32,400

Working Note:

Computation ITC that can be availed

Particulars	CGST	SGST
Computation of eligible ITC		
Car purchased for official use by senior partner [ITC on motor vehicles used for transportation of persons with seating capacity up to 13 persons (including driver) is blocked except when used for making specified outward supplies.]	Nil	Nil
Office rent paid to landlord [No ITC since the supplier did not upload the details of invoice in his GSTR-1 and said details are not being reflected in GSTR-2B of recipient.]	Nil	Nil
Professional fee paid [ITC on services used in the course/furtherance of the business is allowed.]	18,000	18,000
Computer for office purpose [ITC on goods used in the course/furtherance of the business is allowed.]	3,000	3,000

Total eligible ITC which can be availed [ITC in respect of invoices furnished by the suppliers in their GSTR-1s and reflected in GSTR-2B of recipient.]	21,000	21,000

Illustration 12

M/s Cute & Co., a partnership firm, registered supplier under GST in Bengaluru (Karnataka State), has provided the following information for the month of October:

S. No.	Details of transactions	Amount
1.	Intra-State taxable supply of Direct Selling Agent (DSA) service to public sector Bank.	2,50,000
2.	Services provided to a Governmental authority by way of sanitation conservancy.	99,900
3.	Rent paid to a residential dwelling taken for running an office for providing DSA services; Owner of the residential property was not registered under GST; This is an intra-State supply availed.	25,000
4.	Purchased a car for the official use of managing partners of the Firm for business use (Inter-State purchase).	9,00,000
5.	Availed Information Technology services for their business from Partner's friend Mr. Allan Waugh from Melbourne, Australia. Mr. Waugh refused to take any consideration. Open Market value of said service was 1,25,000. (Inter-State transactions).	Nil
6.	Provided training and performance appraisal services in Bengaluru to following persons: a) ABC Private Limited, a registered supplier in the State of Kerala b) Babu Cones, a proprietorship concern of Rajasthan, which was not registered under GST	 3,00,000 1,00,000

Note:

- Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively.
- All the amounts given above are exclusive of taxes.
- All the conditions necessary for availing the ITC have been fulfilled
- There was no opening balance of any input tax credit.

The turnover of M/s Cute & Co was 2 crore in the previous financial year.
Compute the net GST payable in cash, by M/s Cute & Co. for the month of October.
Correct legal provisions should form part of your answer.

[RTP May 24]

Solution

Computation of net GST payable in cash

Particulars	CGST @ 9%	SGST @ 9%	IGST @ 18%
Output tax liability [Refer Working Note 1]	31,500	31,500	54,000
Less: ITC available [Refer Working Note 2]	2,250	2,250	-

Net GST payable	29,250	29,250	54,000
Add: Tax Payable under reverse charge to be paid in cash [The amount available in the electronic credit ledger may be used for making any payment towards output tax. Further, output tax means the tax chargeable on taxable supply of goods and/or services but excludes tax payable on reverse charge basis. Thus, tax liability under reverse charge has to be paid in cash]	2,250	2,250	
Total GST Payable in cash	31,500	31,500	54,000

Working Notes

1. **Computation of total value of taxable supplies made by M/s Cute & Co. for the month of October**

Particulars	Amount	CGST	SGST	IGST
Taxable under Forward Charge				
Intra-State taxable supply of DSA service [Since DSA services are provided by partnership firm, so taxable under forward charge]	2,50,000	22,500	22,500	
Services provided to a Governmental authority by way of sanitation conservancy [Specifically exempt under GST]	99,900	-	-	
Information Technology services [Import of services from a non-related person without consideration, in the course or furtherance of business is not a supply.]	Nil			
Training and performance appraisal services to ABC Private Limited [Taxable; the place of supply of services in relation to training and	3,00,000			54,000
performance appraisal to a registered person, shall be the location of such person. Thus, place of supply is Kerala and hence an inter-State transaction.]				
Training and performance appraisal services to Babu Cones. [Taxable, the place of supply of services in relation to training and performance appraisal to an unregistered person, shall be the location where the services are actually performed. Thus, place of supply is Bengaluru, hence Intra-State transaction]	1,00,000	9,000	9,000	
	7,49,900	31,500	31,500	54,000
Taxable under Reverse Charge				

Rent paid for residential unit [Service by way of renting of residential dwelling to a registered person is taxable under reverse charge mechanism]	25,000	2,250	2,250	
	7,74,900	33,750	33,750	54,000

2. Computation of ITC that can be availed by M/s Cute & Co. for the month of October

Particulars	CGST	SGST	IGST
Rent paid to residential dwelling for providing DSA services [ITC is available as services are used in the course or furtherance of business.]	2,250	2,250	-
Purchase of car [Blocked credit in terms of section 17(5) of the CGST Act, 2017]			Nil
Total ITC	2,250	2,250	-

Illustration 13

Chill Ltd., Delhi, a registered supplier, manufacturing machineries has made a taxable supply of machinery during the month of March. It furnished the following details for each such machinery supplied: -

S. No.	Particulars	Amount
1.	List price of machinery (exclusive of taxes)	10,00,000
2.	Subsidy received from the Central Government for supply of machinery to Government School (exclusively related to supply of machinery included at S. No. 1)	2,10,000
3.	Subsidy received from an NGO for supply of machinery to an old age home (exclusively related to supply of goods included at S. No. 1)	2,00,000
4.	Tax levied by Municipal Authority	2,50,000
5.	Packing charges	1,25,000

Additional information:-

The list price of the machinery is after considering the two subsidies received. However, the other charges/taxes/fee are charged to the customers over and above the list price. Further, the company has provided the following information pertaining to purchases made/services availed by it in respect of supply of said machinery during the month of March:

S. No	Particulars	GST
1.	Raw material (to be received in the month of April)	8,50,000
2.	Membership of a club availed for employees working in the factory (not obligatory to be provided under any law)	4,00,000
3.	Inputs to be received in 6 lots, out of which 1st lot was received during the month	3,50,000
4.	Trucks used for transport of raw material	1,50,000
5.	Capital goods (out of 3 items, invoice for 2 items is missing and GST paid on those items is 2,82,000)	3,50,000

Note:
- Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively.
- All inward and outward supplies are exclusive of taxes, wherever applicable.
- All the conditions necessary for availing the ITC have been fulfilled, subject to the information given above.
- All inward and outward supplies are inter-State supplies.

Compute the net GST payable in cash, by Chill Ltd. for the month of March

[RTP Nov 23]

Solution

Computation of net GST payable in cash

Particulars	Value of supply	CGST @ 9%	SGST @ 9%	IGST @ 18%
Supply of machinery [Refer Working Note]	15,75,000			2,83,500
Less: ITC available				2,18,000
Net GST payable in cash				65,500

Computation of total value of taxable supply made by Chill Ltd. during the month of March

Particulars	Amount
List price of the machinery	10,00,000
Subsidy amounting to 2,10,000 received from the Central Government [Since the subsidy is received from the Government, the same is not includible in the value in terms of section 15(2)(e) of the CGST Act, 2017]	Nil
Subsidy received from NGO [Since the subsidy is received from a non-Government body and directly linked to the supply, the same is includible in the value in terms of section 15(2)(e) of the CGST Act, 2017]	2,00,000
Tax levied by the Municipal Authority [Includible in the value as per section 15(2)(a) of the CGST Act, 2017]	2,50,000
Packing charges [Being incidental expenses, the same are includible in the value as per section 15(2)(c) of the CGST Act, 2017]	1,25,000
Total value of taxable supplies	15,75,000

Computation of ITC that can be availed by Chill Ltd. for the month of March

Particulars	ITC
Raw Material [ITC not available as raw material is not received in March]	Nil
Membership of a club availed for employees working in the factory (not obligatory to be provided under any law) [ITC is blocked in terms of section 17(5) of the CGST Act, 2017]	Nil
Inputs to be received in 6 lots, out of which 1st lot was received during the month [In case of goods received in lots, ITC can be taken only upon receipt of the last lot]	Nil
Trucks used for transport of raw material [ITC of GST paid on motor vehicles used for transportation of goods is	1,50,000

allowed unconditionally]	
Capital goods [ITC can be availed only on the basis of a valid document (invoice). Thus, GST paid on items for which invoice is missing, i.e. 2,82,000, is not available.]	68,000
Total ITC	2,18,000

Illustration 14

Prithviraj Pvt. Ltd., a registered supplier, is engaged in manufacturing heavy steel fabrication machine.
The details pertaining to pricing of each such machine is as follows:

S. No.	Particulars	Amount
1.	Price of the machine (exclusive of taxes and discounts)	5,50,000
2.	Part fitted in the machine at the premises of the recipient [Amount has been paid by recipient directly to the supplier. However, it was Prithviraj Pvt. Ltd.'s liability to pay the said amount.)	20,000
3.	Installation and testing charges at the premises of the recipient	25,000
4.	Subsidy received from Shri Ram Trust [Subsidy is directly linked to the price of the machine]	50,000

Items given in points (ii) to (iv) have been excluded while arriving at price of the machine given in point (i) above. The contract includes installation and testing of machine at the recipient's premises.
Prithviraj Pvt. Ltd. has made supply of 10 such machines in the month of July. It also provided the following details pertaining to the purchases made/services availed during said month:

Sr. No	Particulars	Amount
a)	Raw material (to be received in September)	10,00,000
b)	Membership of a club availed for employees working in the factory	6,00,000
c)	Trucks used for transport of raw material	3,50,000
d)	Capital goods (out of 3 items, invoice for 2 items is missing and GST paid on those two items is 18,000)	7,00,000

Compute the net GST payable in cash by Prithviraj Pvt. Ltd. for the given month assuming that all the inward and outward supplies are intra-State supplies. Assume the rates of taxes to be as under:

Particulars	Rates of tax
Central tax (CGST)	9%
State Tax (SGST)	9%
Integrated tax (IGST)	18%

Make suitable assumptions, wherever necessary. All the conditions necessary for availing the ITC have been fulfilled. Opening balance of the input tax credit for the relevant period is Nil

[MTP Nov 22]

Solution

Computation of net GST payable by Prithviraj Pvt. Ltd. for the month of July

Particulars	CGST	SGST

GST payable on outward supplies (Refer Working note – 1)	5,80,500	5,80,500
Less: ITC (Refer Working note – 2) [ITC of CGST is utilized for payment of CGST and ITC of SGST is utilized for payment of SGST.]	76,500	76,500
Net GST payable in cash	5,04,000	5,04,000

Working note – 1

Computation of GST payable on outward supply made by Prithviraj Pvt. Ltd. for the month of July

Particulars	Amount
Price of machine (exclusive of taxes and discounts)	5,50,000
Amount paid by the recipient directly to the supplier (Prithviraj Pvt. Ltd.) for the part fitted in the machine [Any amount that the supplier is liable to pay in relation to a supply but which has been incurred by the recipient of the supply and not included in the price actually paid or payable for the goods is includible in the value of supply.]	20,000
Installation and testing charges [Any amount charged for anything done by the supplier in respect of the supply of goods at the time of/before delivery of goods is includible in the value of supply.]	25,000
Subsidy received from Shri Ram Trust [Since the subsidy is received from a non-Government body and directly linked to the price, the same is includible in the value of supply.]	50,000
Value of taxable supply of 1 machine	6,45,000
Value of taxable supply of 10 machines [₹ 6,45,000 × 10]	64,50,000
GST payable on outward supplies	
CGST @ 9%	5,80,500
SGST @ 9%	5,80,500
[Since all the outward supplies are intra-State supplies, CGST and SGST are payable on the same.]	

Working note – 2

Computation of ITC available with Prithviraj Pvt. Ltd. for the month of July

Particulars	CGST	SGST
Raw Material [ITC not available as raw material is not received in July]	Nil	Nil
Membership of a club availed for employees working in the factory [Blocked credit]	Nil	Nil
Trucks used for transport of raw material [ITC of GST paid on motor vehicles used for transportation of goods is allowed]	31,500	31,500
Capital goods [ITC of GST paid on items for which invoice is missing is not available. So, ITC of 18,000 is not available] [63,000 - 18,000]	45,000	45,000
Total ITC available	76,500	76,500

Illustration 15

Jino Enterprises, a partnership firm is a regular taxable person registered in Guwahati, Assam and is engaged in supply of Air conditioners and its accessories as well as air conditioned repairing services. Details of their various activities for the month of October are as follows:

a) Intra State supply of Air conditioner to customers in Assam. Freight is separately charged in invoices for delivery of goods at customer's doorstep.

Particulars	Amount
Value of goods	4,00,000
Value of freight charges charged separately in above invoices.	1,00,000

b) Intra State supply of repairing services wherein apart from charging service charges, cost of parts/ spares provided to customers is also charged and consideration for the same is separately mentioned in the invoices.

Particulars	Amount
Value of services component of invoices	3,00,000
Value of parts / spares component in invoices	50,000

c) In order to enhance their sales and to clear the stock of old models of air-conditioner, Jino Enterprises made combo offers to customers wherein, if a customer purchases an Air-conditioner along with a stabilizer, the same is offered at a combo price of 20,000 as against the original price of 30,000 (Air-conditioner 22,000 & stabilizer 8,000) if these are purchased separately. During October, Jino Enterprises had made inter-State supply of 10 numbers of such combo products.

d) Purchased business class air tickets for intra State travel from Guwahati Airport, Assam to Dibrugarh Airport, Assam for its executive employees relating to business of the concern. Basic air fare was 40,000 and airlines charges GST @ 2.5% CGST, SGST each on basic freight, in case the same is applicable

Additional Information:

a) All the figures mentioned above are exclusive of taxes.

b) In respect of few of the invoices relating to F.Y. 2024-25, involving ITC of CGST 20,000, SGST of 20,000, IGST 80,000 was not taken earlier.

c) Jino Enterprises now want to avail credit in respect of such invoices in the current month.

d) The rates of GST applicable on various supplies are as follows:

Nature of Supply	CGST	SGST	IGST
Services	9%	9%	18%
Stabilizers	9%	9%	18%
Freight	6%	6%	12%
AC , Parts and accessories (Except Stabilizers)	6%	6%	12%

Calculate the amount of minimum CGST, SGST & IGST tax payable in cash by Jino Enterprises for the month of October.

[PYQ May 23]

Solution

Computation of minimum CGST, SGST and IGST payable in cash by Jino Enterprises for the month of October

<table>
<tr><th colspan="2">Particulars</th><th>Value</th><th>CGST</th><th>SGST</th><th>IGST</th></tr>
<tr><td colspan="2">Intra-State supply of air-conditioners
[Since goods are agreed to be delivered at customer's doorsteps, supply of air-conditioners along with transportation thereof is a composite supply which is treated as the supply of the principal supply (air conditioners). Accordingly, rate of principal supply, i.e. air-conditioners will be charged.]</td><td>5,00,000</td><td>30,000</td><td>30,000</td><td></td></tr>
<tr><td>Intra-State supply of repairing services</td><td rowspan="2">[Since parts/ spares and repair services are not naturally bundled, they are taxable separately at the applicable rates.]</td><td>3,00,000</td><td>27,000
[3,00,000 × 9%]</td><td>27,000
[3,00,000 × 9%]</td><td></td></tr>
<tr><td>Intra-State supply of parts / spares</td><td>50,000</td><td>3,000
[50,000 × 6%]</td><td>3,000
[50,000 × 6%]</td><td></td></tr>
</table>

Inter-State supply of 10 combos of air conditioners and stabilizers [Since supplies are not naturally bundled and a single price is being charged, it is a mixed supply. It is treated as supply of that particular supply which attracts highest tax rate (i.e., stabilizers).]	2,00,000 [20,000 × 10]			36,000 [2,00,000 × 18%]
Total output tax		60,000	60,000	36,000
Less: Input Tax Credit [Refer Working Note below] [IGST credit is first utilized for payment of IGST liability. Remaining IGST credit has been utilized for payment of CGST and SGST in such proportion to keep the liability at its minimum. After exhausting IGST credit, CGST and SGST credits have been utilized. CGST credit is utilized for payment of CGST and SGST credit is utilized for the payment of SGST. ITC of CGST cannot be utilized for payment of SGST and vice versa.]		(22,000) (IGST)	(22,000) (IGST)	(36,000) (IGST)
		(21,000) (CGST)	(21,000) (SGST)	
Minimum net GST payable in cash		17,000	17,000	Nil

Working Note:

Computation of ITC available

Particulars	CGST	SGST	IGST

Purchase of business class air tickets for travel from Assam [Not exempt, since air travel embarking from Assam is not being undertaken in economy class. Further, ITC is available since service is used in the course/furtherance of business.]	1,000 [40,000 × 2.5%]	1,000 [40,000 × 2.5%]	
Invoices relating to FY 2024-25 [ITC in respect of any invoice can be taken up to 30th November following the end of FY to which such invoice relates or furnishing of the relevant annual return, whichever is earlier.]	20,000	20,000	80,000
Total ITC available	21,000	21,000	80,000

Illustration 16

M/s Consultease Services Private Limited, a company registered under GST in Mumbai, Maharashtra, offers business consultancy, digital marketing and project management services across India. The company recorded the following transactions in October:

1. Consultancy services for market analysis: Provided consultancy services for market analysis to XYZ Ltd., a registered client in Chennai, Tamil Nadu (Inter-State), for ₹ 4,50,000. Additionally, the company paid an amount of ₹ 4,500 as professional tax applicable in the State of Maharashtra as per requirement of local state legislation. The amount of professional tax was recovered separately from XYZ Ltd.
2. Digital Marketing Services for Launch Event: Conducted digital marketing for an upcoming product launch for Mr. A based in Rajasthan, who is an unregistered person under GST. The agreed fee for the said services is ₹ 3,00,000. Out of the agreed fee, an amount of ₹25,000 is incurred by Mr. A. The company was liable to pay the same in relation to the supply and the net payment received by the company was ₹ 2,75,000 (exclusive of any tax).
3. Travelling payment for the team: The employees incurred an amount of ₹ 50,000 on travel to Kolkata for client project and claimed a reimbursement of the same from the company. As a policy, company charged such expenses from the clients on actual basis.
4. Discount passed on to customer: Post supply discount was offered to a customer amounting to ₹ 50,000 against a supply for which invoice was issued in September. The customer has not reversed the input tax credit relating to such discount.
5. Recovery of late payment charges: The company received an amount of ₹ 1,00,000 as late payment charges for delay in payment for consideration from a client whose service contract was completed in June.
6. Purchase of car: A car was purchased in the name of company for use by the director. The total cost of car was ₹ 10,50,000 (inclusive of IGST amounting to ₹ 1,50,000).
7. Insurance services: The company paid for insurance of the above new car amounting to ₹ 25,000 which includes IGST amounting to ₹ 2,300.
8. Procurement of services: The company received inter-State supply of services used for business purpose on which GST paid was Rs. 45,000. Said credit was not restricted under any provision of GST laws.
9. Sponsorship: The company sponsored a sports event wherein it paid an amount of ₹ 2,00,000 to the event organizers.

You are required to compute the following for the month of October:

a) Total value of supply
b) output tax payable by the Company
c) net GST payable in cash.

Note

a) Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively.
b) All the amounts given above are exclusive of taxes.
c) There was no opening balance of input tax credit.
d) The turnover of the company was ₹ 10 crores in the previous financial year.
e) All the transactions are inter-State, unless otherwise specified.

[RTP Jan 2025]

Solution

a) Computation of total value of supply

Particulars	IGST (₹)
Consultancy services provided to XYZ Ltd. (As per section 15 of the CGST Act, 2017, the value of supply includes the amount of any tax paid under any law other than GST. Accordingly, the amount of professional tax is includible in the value of services.)	4,54,500
Digital marketing services provided to Mr. A (The amount incurred by the recipient on behalf of the supplier is includible in the value of supply.)	3,00,000
Travelling expenses recovered from the client (Incidental expenses like travelling expenses incurred in course of supply is includible in value of supply)	50,000
Post supply discount (No adjustment of post supply discount is allowed as the customer has not reversed the input tax credit.)	-
Late payment charges (The late payment charges recovered are includible in GST and liable to tax at the time of receipt of amount.)	1,00,000
Total value of supply for October	9,04,500

b) Computation of output tax payable

Particulars	IGST (₹)
Total value of outward supply	9,04,500
Total output tax payable @ 18% (Company is liable to pay GST on sponsorship services under reverse charge, but the tax payable under reverse charge is not included in the value of output tax.)	1,62,810

c) Computation of net GST payable in cash

Particulars	IGST (₹)
Total output tax	1,62,810
Less: Input Tax Credit [Refer Working Note below]	(81,000)

Net GST payable (A)	81,810
Add: GST payable under reverse charge for receipt of sponsorship services (B) [Tax on sponsorship services availed by a body corporate from any person is payable under reverse charge. Since the tax payable under reverse charge is not an output tax, ITC cannot be utilized to pay GST payable under reverse charge. Thus, it has to be paid in cash.]	36,000
Total GST payable in cash (A) +(B)	1,17,810

Working Note:

Computation of ITC available

Particulars	IGST (₹)
Purchase of car for use by director (ITC on motor vehicles for transportation of persons with seating capacity ≤ 13 persons (including the driver) is blocked except when the same are used for (i) making further taxable supply of such motor vehicles (ii) making taxable supply of transportation of passengers (iii) making taxable supply of imparting training on driving such motor vehicles. Purchase of car for use by director is not a specified purpose.)	-
Insurance of car (ITC is not allowed on services of insurance relating to the motor vehicles on which ITC is blocked. Since, the car is not used for any of the eligible purposes, ITC thereon is blocked and thus, ITC on insurance taken on such car is also blocked)	-
ITC on receipt of services (ITC is available on services used in the course or furtherance of business.)	45,000
ITC on sponsorship services (ITC is available on services used in the course or furtherance of business.)	36,000
Total ITC available	81,000

Illustration 17

DEF Pvt. Ltd., a registered supplier of goods and services in Pune, Maharashtra, has furnished the following details for the month of January, 2025. The turnover of DEF Pvt. Ltd. was ₹ 3.2 crores in last financial year

Sr. No.	Particulars	Amount (₹)
1.	Intra State supply of taxable goods	5,00,000
2.	F Ltd. of Mumbai (unregistered) had promised to DEF Pvt. Ltd. in Oct 24 to complete contract within 3 months, but they were not able to complete committed contract, so DEF Pvt. Ltd. received consideration for non-performance of contract on time as decided by pre written agreement.	2,00,000
3.	DEF Pvt. Ltd. had provided service of booking of flight tickets for employee of H Enterprise (registered in Delhi) in the	20,000

	economy class from Bagdogra (West Bengal) to Pune Maharashtra.	
4.	DEF Pvt. had purchased goods worth ₹ 5,00,000 from R Ltd. (registered in Gujarat) on 15.03.2024. Now R Ltd. issued debit note on 15.01.2025 for post delivery service to DEF Pvt. Ltd. as per part of terms of sales.	25,000
5.	DEF Pvt. Ltd. had sold one of its unit in Pune as a going concern (with all goods and unexecuted orders) to H Ltd. (registered in New Delhi)	10,00,000
6.	DEL Pvt. Ltd. had provided service to Mr. Y (registered in Punjab) to organise business exhibition in Dubai.	5,00,000
7.	Inter-State supply of service	10,00,000
8.	Amount towards receipt of intra State services	6,00,000
9.	Purchase of confectionery items which are to be used to supply free of cost to customers in a customer meet organised by DEF Pvt. Ltd.	1,00,000

Opening balance of Input Tax credit at the beginning of Jan 2025.
CGST ₹ 25,000
SGST ₹ 25,000
IGST ₹ 30,000
Additional Information:
a) Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively unless otherwise mentioned.
b) Both inward and outward supplies are exclusive of taxes, wherever applicable.
c) All the conditions necessary for availing the ITC have been fulfilled.
From the information given above, compute the output tax liability and input tax credit available to DEF Pvt. Ltd., for the month of January, 2025. Make suitable assumptions wherever required.

[PYQ Sep 2024]

Solution

a) Computation of output tax liability of DEF Pvt. Ltd. for January, 2025

Particulars	Value (₹)	CGST @ 9% (₹)	SGST @ 9% (₹)	IGST @ 18% (₹)
Output tax payable				
Intra-State supply of taxable goods	5,00,000	45,000	45,000	
Consideration for non- performance of contract [Being 'liquidated damages', they are not the consideration for tolerating the non-performance of the contract. Hence, not a supply]	2,00,000	-	-	
Service of booking of flight tickets	20,000			3,600

[Taxable since service of booking of air tickets is being provided here. Only the service of transportation of passengers in economy class embarking from Bagdogra is exempt. Further, the place of supply of services made to a registered person is the location of such person, viz. Delhi in given case. Thus, same is inter- State supply.]				
Selling of Pune unit as going concern to H Ltd. [Services by way of transfer of going concern is exempt.]	10,00,000	-	-	-
Service in relation to business exhibition in Dubai [Services by an organiser to any person in respect of a business exhibition held outside India is exempt.]	5,00,000	-	-	--
Inter-State supply of service	10,00,000	-	-	1,80,000
Total output tax liability		45,000	45,000	1,83,600

b) Computation of input tax credit available to DEF Pvt. Ltd. for January, 2025

Particulars	Value (₹)	CGST @ 9% (₹)	SGST @ 9% (₹)	IGST @ 18% (₹)
Opening balance		25,000	25,000	30,000
Issue of debit note for post delivery service [ITC on debit notes issued in a financial year can be availed any time till 30th November of the succeeding financial year or the date of filing of the relevant annual return, whichever is earlier, irrespective of the date of original invoice/ supply. Further, place of supply being Pune in given case, same is inter-State supply.]	25,000			4,500
Receipt of intra-State services [ITC on services used in the course or furtherance of business is allowed.]	6,00,000	54,000	54,000	
Purchase of confectionery items [ITC on food or beverages is specifically disallowed unless the same is used for making outward	1,00,000	-	-	--

taxable supply of the same category or as an element of the taxable composite or mixed supply.]				
Total		79,000	79,000	34,500

Illustration 18

Pranesh has deposited a sum of ₹ 5,000 under the head of 'Fee' column of Cess and ₹4,000 was lying unutilized under the head of 'Penalty' column of IGST. Both the deposits were made wrongly instead of depositing under the head of Fee column under SGST.
In the light of the provisions of section 49(10) & 49(11) of the CGST Act, 2017, briefly explain the relevant provisions as how can Pranesh rectify these errors?

[PYQ Nov 2022]

Solution

A registered person is allowed to make intra-head or inter-head transfer of amount, as available in electronic cash ledger, using specified form.
It can transfer any amount of tax, interest, penalty, fee or others, under one (major or minor) head to another (major or minor) head, as available in the electronic cash ledger.
Therefore, in the given case, amount of ₹ 5,000 available under minor head 'fee' of major head 'cess' and ₹ 4,000 available under minor head 'penalty' of major head 'IGST' can be transferred to minor head 'fee' of major head 'SGST' using specified form.

Illustration 19

Charm Limited, registered under GST in the State of Jharkhand, manufactures cosmetic products and appointed Mr. Handsome of Mumbai, who is registered under GST in the State of Maharashtra, as their Del-credere agent (DCA) to sell their products. Being a DCA, he agrees to raise invoices in his own name and also guarantees for the realization of payments from customers to Charm Limited.
In order to realize the payments from customers on time, he extends short term transaction based loans to them and charges interest for the same.
Mr. Handsome provides you the following details of transactions carried out during the month of March 2025:

Sl. No.	Particulars	Amount in (₹)
	Outward supply:	
i.	Goods sold by Mr. Handsome in his DCA capacity (intra -State transaction)	2,80,000
ii.	Interest earned from the above customers for short term credit facility provided for timely payment of dues. (intra-State transaction)	20,000
iii.	Commission bill raised on Charm Limited (inter-State transaction) in respect of DCA services provided.	30,000
	Inward supply:	
iv	Inter-State supply of goods received from Charm Limited. Being a DCA, no consideration was paid.	Nil

	Value under section 15 - ₹ 2,00,000	
v.	Received training in marketing and distribution from Charm Limited as per DCA agreement, free of cost. Company charges ₹ 75,000 for such training when it provides the same to others.	Nil

Applicable rate of tax on both inward and outward supplies is 9% each for CGST and SGST and 18% for IGST. Amounts given above are exclusive of taxes wherever applicable. Subject to the information given above, necessary conditions are complied with for availment of input tax credit.

You are required to calculate the gross GST liability and eligible input tax credit for the month of March 2022 of Mr. Handsome. Brief notes should form part of your answer for treatment of items in Sl. No. (i) to (v).

[PYQ Nov 2022]

Solution

Computation of gross GST liability of Mr. Handsome for the month of March 2025

Particulars		CGST (₹)	SGST (₹)	IGST (₹)
Goods sold by Mr. Handsome in his DCA capacity	2,80,000	27,000 [3,00,000 × 9%]	27,000 [3,00,000 × 9%]	
Add: Interest earned for short term credit facility provided to above customers	20,000			
[Interest included in the value of supply of the goods sold since where DCA is an agent under Schedule - I of the CGST Act, short term credit facility provided by DCA to the buyer is subsumed in the supply of the goods by the DCA to the buyer.]				
Commission charged for DCA services [Being taxable supply of services.]				5,400 [30,000 × 18%]
Gross GST liability		27,000	27,000	5,400
Note: Since the invoice for goods sold is issued by the DCA – Mr. Handsome in his own name, he would fall under the ambit of an agent under Schedule – I of the CGST Act.				

Computation of eligible ITC for the month of March 2025

Particulars	CGST (₹)	SGST (₹)	IGST (₹)
Inward supply of goods from Charm Limited free of cost [Supply of goods by principal – Charm Limited to the agent – Mr. Handsome qualifies as supply even though it is made without consideration.]			36,000 [2,00,000 × 18%]

Training in marketing and distribution received from Charm Limited free of cost [Since no consideration is charged for the services provided, said services do not qualify as supply. As no GST is paid on the same, ITC is not available]	--	--	--
Total ITC available	Nil	Nil	36,000

Illustration 20

Mr. B, a registered supplier of Uttar Pradesh, is doing the trading of taxable goods. He approaches you to understand the manner of utilisation of available Input Tax Credit (ITC). With reference to provisions of payment of tax, state the manner of uilisation of ITC under GST law.

[PYQ May 2022]

Solution

The manner of utlisation of ITC under GST law is as under:

a) IGST credit should first be utilized towards payment of IGST.
b) Remaining IGST credit, if any, can be utilized towards payment of CGST and SGST/UTGST in any order and in any proportion.
c) Entire ITC of IGST should be fully utilized before utilizing the ITC of CGST or SGST/UTGST.
d) Subsequently, ITC of CGST should be utilized for payment of CGST and IGST in that order.
e) ITC of SGST /UTGST should be utilized for payment of SGST/UTGST and IGST in that order.
f) ITC of SGST/UTGST should be utilized for payment of IGST, only after ITC of CGST has been utilized fully.
g) ITC of SGST/UTGST cannot be utilized for payment of CGST and vice versa.

Illustration 21

Zeon Ltd., a GST registered supplier located in Ranchi, Jharkhand, is engaged in the manufacturing of washing machines & mixer grinders. It provides you the details of various activities undertaken during the month of September, 2025 as follows:

Sl. No.	Particulars			Amount (₹)
(i)	Outward supplies made during the month			
	a.	Within Jharkhand	₹ 24,00,000	
	b.	Outside Jharkhand	₹ 5,00,000	29,00,000
(ii)	Purchase of raw materials from registered dealers within Jharkhand which includes materials worth ₹ 2,00,000 purchased from Mr. Krishna, a registered person who is paying tax under composition scheme.			7,00,000
(iii)	Bus purchased from a registered dealer in Tatanagar, Jharkhand. Bus used to ferry its 25 workers to and from factory.			12,00,000

Assume the rates of GST applicable on various supplies as follows:

Nature of supply	CGST	SGST	IGST
Composition supplies	0.5%	0.5%	-
Bus	14%	14%	28%
Raw material	6%	6%	12%
Washing machines & mixer grinders	9%	9%	18%

Opening balances of input tax credit as on 01/09/2021 were as follows:

CGST (₹)	SGST (₹)	IGST (₹)
20,000	5,000	95,000

Note:

a) All the figures mentioned above are exclusive of taxes.

b) Both inward & outward supplies within the State of Jharkhand are to be considered intra-State supplies and outside the State of Jharkhand are inter-State supplies.

c) Subject to information given above, all the other conditions necessary for availing ITC have been fulfilled.

Calculate the amount of net minimum GST payable in cash by Zeon Ltd. for the month of September, 2025.

[PYQ May 2022]

Solution

Computation of minimum net GST payable in cash by Zeon Ltd. for the month of September 2025

Particulars	CGST (₹)	SGST (₹)	IGST (₹)
Outward supplies made within Jharkhand	2,16,000 [24,00,000 × 9%]	2,16,000 [24,00,000 × 9%]	
Outward supplies made outside Jharkhand			90,000 [5,00,000 × 18%]
Total output tax	2,16,000	2,16,000	90,000
Less: Input Tax Credit [Refer Working Note below] [IGST credit be first utilized for payment of IGST liability. Remaining IGST credit has been utilized for payment of SGST liability since the SGST liability is to be kept at minimum.	-	5,000 (IGST)	(90,000) (IGST)
	2,16,000 (CGST)		
		2,03,000 (SGST)	
After exhausting IGST credit, CGST and SGST credit to be utilized. CGST credit to be utilized for payment of CGST and SGST credit to be utilized for the payment of SGST. ITC of CGST cannot be			

utilized for payment of SGST and *vice versa*.]			
Minimum net GST payable in cash	Nil	8,000	Nil
ITC to be carried forward next month	2,000		

Working Note:

Computation of ITC available

Particulars	CGST (₹)	SGST (₹)	IGST (₹)
Opening balance	20,000	5,000	95,000
Purchase of raw materials from registered dealers within Jharkhand [7,00,000 – 2,00,000] [ITC on purchases of goods worth ₹ 2,00,000 on which tax has been paid under composition scheme is blocked. ITC on remaining purchases worth ₹ 5,00,000 is available, being supply of goods used/intended to be used in the course/furtherance of business.]	30,000 [5,00,000 × 6%]	30,000 [5,00,000 × 6%]	
Bus purchased from dealer in Jharkhand used to ferry 25 workers to and from factory [ITC on motor vehicles for transportation of persons with seating capacity > 13 persons (including the driver) used for any purpose is allowed.]	1,68,000 [12,00,000 × 14%]	1,68,000 [12,00,000 × 14%]	
Total ITC available	2,18,000	2,03,000	95,000

Illustration 22

Miss Shreya, proprietor of M/s. Happy Enterprise, a registered supplier of taxable goods and services in the state of West Bengal, pays GST under regular scheme. It is not eligible for any threshold exemption. It provided the following information for the month of December 2025:

S. No.	Particulars	Amount (₹)
	<u>OUTWARD SUPPLY:</u>	
i.	Intra-state supply of goods to M/s. Reliable & Sons	7,00,000
ii.	Intra-state transfer of goods to its branch office in the	1,00,000
	state of West Bengal. Both places are under the	
	same GSTIN.	
iii.	Permanent transfer of old computers to orphanage	80,000

	home without consideration. Input tax credit was not	
	availed on the same.	
iv.	Advance received for Future supply of management	40,000
	consultancy service to Mr. Shubam (Intra-state	
	supply)	
	INWARD SUPPLY: (Intra-state)	
i.	Purchase of taxable goods from registered suppliers.	8,00,000
ii.	Availed Works Contract service for repair of office building. Amount of repair was debited in the profit & loss account.	30,000
iii.	Availed legal service form an advocate to represent the matter in the Court relating to collection of disputed proceed from customers.	50,000

Notes:

a) Rate of CGST, SGST and IGST on all supplies are as below:

Particulars	CGST	SGST	IGST
Goods	2.5%	2.5%	5%
Supply of services	9%	9%	18%

b) Both inward and outward supplies given above are exclusive of taxes.
c) All the conditions necessary for availing the ITC have been fulfilled.
d) The aggregate turnover of M/s Happy Enterprise in the preceding financial year exceeds the threshold limit for registration.
e) Working note should form part of the answer.

Compute the net minimum GST payable in cash by M/s. Happy Enterprise for the month of December 2025.

[MTP JAN 2025]

Solution

a) **Computation of minimum net GST payable in cash by M/s Happy Enterprise for the month of December 2025**

Particulars	Value (₹)	CGST (₹)	SGST (₹)	IGST (₹)
GST payable under forward charge				
Intra-State supply of goods to M/s Natural & Sons	7,00,000	17,500 [7,00,000 × 2.5%]	17,500 [7,00,000 × 2.5%]	
Intra-State branch transfer [Such transfer is not a supply as the branch has the same GSTIN as that of the head office and thus, is not a distinct person.]	1,00,000	--	--	
Permanent transfer of old computers to orphanage home without consideration. [Permanent transfer or disposal of business assets	80,000			--

was not treated as supply even if made without consideration in terms of Schedule–I of the CGST Act, 2017, as ITC was not availed on the same.]				
Advance received for future intra-State supply of management consultancy service (In case of supply of service, tax is payable at the time of receipt of advance amount too)	40,000	3,600 [40,000 × 9%]	3,600 [40,000 × 9%]	
Total output tax		21,100	21,100	
Less: ITC utilized		27,200	27,200	
Net GST payable [A]		Nil	Nil	
Legal services availed [B] [Tax on legal services availed by a business entity from an advocate is payable under reverse charge. Further, tax payable under reverse charge cannot be set off against ITC and thus, reverse charge has to be paid in cash since the tax payable under reverse charge is not an output tax.]	50,000	4,500 [50,000 × 9%]	4,500 [50,000 × 9%]	
Minimum net GST payable in cash [A] + [B]		4,500	4,500	

Working Note:

Computation of ITC available

Particulars	Value (₹)	CGST (₹)	SGST (₹)
Intra-State purchase of taxable goods [ITC of goods used in the course/ furtherance of business is available.]	8,00,000	20,000 [8,00,000 × 2.5%]	20,000 [8,00,000 × 2.5%]
Works contract service for repair of office [ITC is available since the repair amount is debited in P&L A/c and not capitalized in the books of account.]	30,000	2,700 [30,000 × 9%]	2,700 [30,000 × 9%]
Legal services availed [ITC of services used in the course/ furtherance of business is available	50,000	4,500 [50,000 × 9%]	4,500 [50,000 × 9%]
Total		27,200	27,200

Illustration 23

Angira Ltd. is a supplier of taxable goods in Karnataka. It got registered under GST in the month of September, 20XX and wishes to pay its IGST liability for the month. Since it is making the GST payment for the first time, it is of the view that it needs to mandatorily has the online banking facility to make payment of GST; offline payment is not permitted under GST. You are required to apprise Angira Ltd. regarding the various modes of deposit in the electronic cash ledger. Further, advise it with regard to following issues:

a) **Are manual challans allowed under GST?**
b) **What is the validity period of the challan?**

[MTP Nov 2020]

Solution

As per the provisions of CGST Act, 2017 read with relevant rules, the deposit in electronic cash ledger can be made through any of the following modes, namely:-

a) **Internet Banking through authorised banks;**
b) **Credit card or Debit card through the authorised bank;**
c) **National Electronic Fund Transfer or Real Time Gross Settlement from any bank; or**
d) **Over the Counter payment through authorised banks for deposits up to ten thousand rupees per challan per tax period, by cash, cheque or demand draft.**

Thus, offline mode is also permitted under GST subject to specified conditions.

a) **Manual or physical Challans are not allowed under the GST regime. It is mandatory to generate Challans online on the GST Portal.**
b) **Challan is valid for a period of 15 days.**

Illustration 24 [PYQ Jan 2025]

Nootan Ltd., a registered person in Indore, Madhya Pradesh, provides details of the following transactions carried out during the month of June 2025:

Sr. No.	Particulars	Amount in ₹
1.	Paid remuneration to Mr. Madan, for the services rendered by him in the capacity of Director. Company deducted TDS under section 192 (Salary) and 194J (Professional or Technical services) of Income-Tax Act, 1961. Gross payments made were ₹ 8,50,000 and ₹ 11,50,000 respectively for Salary and Professional services. (Intra-State supply)	20,00,000
2.	Paid rent to Indian Railways, registered in Madhya Pradesh, for its property located in the same State, which was taken on lease by the company.	1,25,000
3.	Paid to XYZ Security Private Limited, for providing security services to its warehouses across the State. Security agency is not registered under GST.	5,35,000
4.	Paid fee to Local Municipal corporation for renewal of the company's factory License for the financial year 2025-26.	4,800

Additional Information:

a) **All above figures are exclusive of taxes, wherever applicable.**
b) **Assume the rate of GST as 18%, 9% and 9% for IGST, CGST/SGST respectively.**
c) **Turnover of Nootan Limited for the preceding financial year was ₹ 67 lakh.**

You are required to compute the GST payable by Nootan Limited under Reverse Charge basis for the month of June 2024. Reason for the treatment of each item should form part of the answers

Solution

Computation of GST Payable by Nootan Limited under reverse charge

S. No.	Particulars	CGST (₹)	SGST (₹)
1.	Remuneration paid to Mr. Madan [₹ 11,50,000 × 9%][Remuneration paid to director for professional services subjected to TDS under section 194J of the Income-tax Act is outside the scope of Schedule III of the CGST Act, 2017 and tax is payable under reverse charge by the recipient company – Nootan Ltd.]	1,03,500	1,03,500
	However, salary of ₹ 8,50,000 paid to director subjected to TDS under section 192 of the Income-tax Act is not taxable since services provided by an employee to employer in course of or in relation to his employment are outside the scope of supply in terms of Schedule III of the CGST Act, 2017. Thus, the same is neither supply of goods nor supply of services]		
2.	Paid rent to Indian Railways [Tax on renting of immovable property services provided by Indian Railways is not payable under reverse charge.]	Nil	Nil
3.	Security services received [Tax on security services is not payable under reverse charge since supplier is a body corporate.]	Nil	Nil
4.	Paid fee to Local Municipal Corporation [Not taxable/Exempt since the consideration for the services provided by local authority does not exceed ₹ 5,000.]	Nil	Nil
	Total GST payable by Nootan Ltd. under reverse charge	1,03,500	1,03,500

Illustration 25 [RTP Sep 2025]

Mr. Sagar Chaturvedi, registered under GST, is engaged in supplying multiple services (as discussed in the table below) in Mumbai, Maharashtra. He has furnished the following information with respect to the services supplied and received by him, during the month of April:

S. No.	Particulars	Amount (₹)

(i)	Services of transportation of students provided to Sanskar College offering the degree courses recognized by law.	90,000
(ii)	Outward supply of services of milling of paddy into rice	1,80,000
(iii)	Received the services by way of transportation of goods by road from Sindhu Transporters, an unregistered Goods Transport Agency of Nagpur, Maharashtra.	2,00,000
(iv)	Organized a business exhibition in Gujarat for Ramesh Industries, registered in Delhi.	20,00,000
(v)	Provided training to employees of Aashiyana Interiors, a proprietorship concern of Rajasthan, which was not registered under GST	1,00,000
(vi)	Recovery agent's services provided to a car dealer	30,000
(vii)	Legal services availed for official purpose from an individual advocate located in Gujarat	1,60,000
(ix)	Sponsored his business in a Cricket Match, organized by Mumbai Cricket Association, Maharashtra wherein he paid an amount of ₹ 1,50,000 to the association.	

Note:

a) Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively for both inward and outward supply of services except the service of transportation of goods by GTA, on which the rates of CGST, SGST and IGST are 2.5%, 2.5% and 5% respectively.

b) All inward and outward supplies are exclusive of taxes, wherever applicable.

c) All the conditions necessary for availing the ITC have been fulfilled.

d) The turnover of Sagar was ₹ 1.8 crore in the previous financial year.

e) All the above mentioned supplies are intra-state, wherever the information for determining the place of supply is not provided.

Compute the net GST payable in cash, by Sagar for the month of April.

Solution

Computation of GST payable

Particulars	Value of supply (₹)	CGST (₹)	SGST (₹)	IGST (₹)
GST payable under FCM				
Services of transportation of students provided to Sanskar College [Services of transportation of students provided to an educational institution other than an institution providing pre-school education or education up to higher secondary school or equivalent, are not exempt.]	90,000	8,100 [90,000 x 9%]	8,100 [90,000 x 9%]	Nil

Services of milling of paddy into rice. [Milling of paddy into rice cannot be considered as an intermediate production process in relation to cultivation of plants for food, fibre or other similar products or agricultural produce. Thus, it is not eligible for exemption.]	1,80,000	16,200 [1,80,000 x 9%]	16,200 [1,80,000 x 9%]	Nil
Business exhibition organized for Ramesh Industries [Taxable since services by an organizer to any person in respect of a business exhibition are exempt only when such exhibition is held outside India. Further, it is an inter-State supply since the place of supply of services by way of organization of a cultural, artistic, sporting, scientific, educational or Entertainment event including supply of services in relation to an exhibition in case of a registered recipient is location of such recipient, i.e. Delhi.]	20,00,000	Nil	Nil	3,60,000 [20,00,000 x 18%]
Training to employees of Aashiyana Interiors. [Taxable. Further, the place of supply of services in relation to training and performance appraisal provided to an unregistered person, shall be the location where the services are actually performed. Thus, place of supply is Mumbai. Hence, it is an Intra-State supply.]	1,00,000	9,000 [1,00,000 x 9%]	9,000 [1,00,000 x 9%]	Nil
Services provided as a recovery agent [Tax is payable under FCM since recovery agent's services are being provided to a person other than banking company	30,000	2,700 [30,000 x 9%]	2,700 [30,000 x 9%]	Nil

/financial institution/ non-banking financial company.]				
Total GST payable under forward charge (A)		36,000	36,000	3,60,000
GST payable under RCM				
Services of transportation of goods received from unregistered GTA [It is intra-State supply since the place of supply of services by way of transportation of goods provided to a registered recipient is location of such recipient, i.e., Maharashtra.]	2,00,000	5,000 [2,00,000 x 2.5%]	5,000 [2,00,000 x 2.5%]	Nil
Legal services availed from an advocate [Legal services received by a business entity with aggregate turnover in the preceding financial year exceeding threshold limit for registration (₹ 20 lakh) are not exempt and tax on the same is payable under reverse charge. Further, place of supply of services provided to a registered person is the location of such person. Thus, place of supply is Mumbai. Resultantly, same is an inter-State supply as supplier is located in Gujarat.]	1,60,000	Nil	Nil	28,000 [1,60,000 x 18%]
Total GST payable under reverse charge (B)		5,000	5,000	28,000

Computation of total ITC available

Particulars	Value of supply (₹)	CGST @ 9% (₹)	SGST @ 9% (₹)	IGST @ 18% (₹)
Services of transportation of goods received from unregistered GTA [ITC is available on said service since it is used in course of furtherance of business.]	2,00,000	5,000 [2,00,000 x 2.5%]	5,000 [2,00,000 x 2.5%]	Nil
ITC on sponsorship services	1,50,000	13,500	13,500	Nil

(It is an intra-State supply, since place of supply is Mumbai, Maharashtra, being the location of recipient. ITC is available on services used in the course or furtherance of business.)		[1,50,000 x 9%]	[1,50,000 x 9%]	
Legal services availed from an advocate [ITC is available on services used in the course or furtherance of business.]	1,60,000	Nil	Nil	28,000 [1,60,000 x 18%]
Total ITC available		18,500	18,500	28,000

Computation of net GST payable in cash

Particulars	CGST @ 9% (₹)	SGST @ 9% (₹)	IGST @ 18% (₹)
GST payable under forward charge	36,000	36,000	3,60,000
Less: ITC	18,500	18,500	28,000
	17,500	17,500	3,32,000
Add: GST payable under reverse charge in cash	5,000	5,000	28,000
[Tax payable under reverse charge, being not an output tax, cannot be set off against ITC and thus, will have to be paid in cash.]			
Net GST payable in cash	22,500	22,500	3,60,000

Illustration 26 [PYQ May 2025]

MLM Private Limited, a registered person in Udaipur, Rajasthan engaged in various lines of business, provided the following details regarding the transactions undertook in the month of March, 2025:

<table>
<tr><th>Outward Transactions</th><th>Amount (₹)</th></tr>
<tr><td>Advance received from Mr. Gokul for Business support services to be supplied in the month of April, 2025.</td><td>2,00,000</td></tr>
<tr><td>Provided commissioning services under Pure labour contract to M/s Raj Builders of Jaipur, Rajasthan for Multi-storey residential complex.</td><td>5,00,000</td></tr>
<tr><td>Stock transferred without consideration to its branch in Jodhpur, Rajasthan. Branch has same GSTIN.</td><td>1,25,000</td></tr>
<tr><td>Outward sale of goods to various unrelated persons:
<table>
<tr><th>Particulars</th><th>Market Value</th><th>Transaction Value</th></tr>
<tr><td>Intra-State</td><td>5,00,000</td><td>5,75,000</td></tr>
</table></td><td>As provided in the column</td></tr>
<tr><td>Provided warehousing services for Kidney beans (Rajma), Red lentils and other pulses.</td><td>50,000</td></tr>
<tr><td>Inward Transactions</td><td>Amount (₹)</td></tr>
</table>

Received Car rental services from Carman Private Limited, an unregistered company in Udaipur engaged in car renting services. MLM Private Limited paid rent on monthly basis (Cost of fuel also included in the monthly rent). [Rate of CGST and SGST is 6% each]	1,20,000
Intra-State inward supply of various goods and services for use in the course or furtherance of business.	7,50,000 [Goods] 2,50,000[Services]

Additional Information

1. The Company paid ₹ 50,000 to Mr. Ajay, an independent director, as sitting fees.
2. The Company made donation of ₹ 4,50,000 to a local old age home (a trust not registered under GST) for setting a Water Cooler at old age home with the name of company embedded on the water cooler to express their support for the good cause.
3. All the figures are exclusive of GST.
4. All inward and outward supplies are intra-State except where otherwise stated.
5. Subject to information given above, all the conditions necessary for availing the ITC have been fulfilled.
6. Rates of GST are given below except where otherwise stated:

Particulars	CGST	SGST	IGST
Supply of Goods	6%	6%	12%
Supply of Services	9%	9%	18%

Calculate the net GST Payable in cash by MLM Private Limited for the month of March, 2025. Support your calculations with relevant reasons.

Solution

Computation of net GST payable in cash by MLM Private Limited for the month of March 2025

Particulars	Value	CGST	SGST
GST payable under forward charge			
Advance received from Mr. Gokul for business support services [Tax is payable at the time of receipt of advance for supply of services.]	2,00,000	18,000 [2,00,000 × 9%]	18,000 [2,00,000 × 9%]
Commissioning services under pure labour contract for multi-storied residential complex	5,00,000	45,000 [5,00,000 × 9%]	45,000 [5,00,000 × 9%]
[Taxable, since pure labour contract services pertain to a residential complex.]			
Intra-State branch transfer [Such transfer is not a supply as the branch has the same GSTIN as that of the head office and thus, is not a distinct person.]	--	--	--
Intra-State supply of goods to unrelated persons [Transaction value is the value of supply]	5,75,000	34,500 [5,75,000 × 6%]	34,500 [5,75,000 × 6%]

Warehousing services for pulses[1] [Exempt, since warehousing of pulses is exempt from GST]	--		
Total output tax		97,500	97,500
Less: ITC available		72,000	72,000
Net GST payable [A]		25,500	25,500
GST payable under reverse charge			
Services of an independent director availed [B] [Tax on services provided by a director to a company is payable under reverse charge. Further, tax payable under reverse charge cannot be set off against ITC and thus, has to be paid in cash since the tax payable under reverse charge is not an output tax.]	50,000	4,500 [50,000 × 9%]	4,500 [50,000 × 9%]
Net GST payable in cash [A] + [B]		30,000	30,000

Working Note:

Computation of ITC available

Particulars	Value	CGST	SGST	IGST
Car rental services [Tax is not payable under reverse charge mechanism since supplier is a body corporate. Further, no tax is payable under forward charge also since supplier is unregistered and thus, no ITC is available.]	--			
Intra-State inward supply of goods [ITC of goods used in the course/furtherance of business is available.]	7,50,000	45,000 [7,50,000 × 6%]	45,000 [7,50,000 × 6%]	
Intra-State inward supply of services [ITC of services used in the course/ furtherance of business is available.]	2,50,000	22,500 [2,50,000 × 9%]	22,500 [2,50,000 × 9%]	
Services of an independent director availed [ITC of services used in the course/ furtherance of business is available.]	50,000	4,500 [50,000 × 9%]	4,500 [50,000 × 9%]	
Donation made to local old age home there's no *quid pro quo* and thus, it is not a supply [Since the name of donor – the company - is displayed in such a manner:	--			

• which can be said to be an expression of gratitude and public recognition of donor's act of philanthropy • which is not aimed at giving publicity/ advertisement/ promotion to the donor's business Hence, no ITC is available.]				
Total		72,000	72,000	

Illustration 27 [PYQ May 2025]

Mr. Ranjan availed ITC of ₹ 1,00,000 in GSTR-3B for the month of June, 2025. The Output tax liability for June 2025 was Nil. His intra-State output supply for the month of July 2025 was ₹ 5,00,000 (excluding GST). He utilized the available ITC against the output tax liability for the month of July 2024 while filing GSTR-3B. Mr. Ranjan found on 22nd September, 2025 that he wrongly availed ITC of ₹ 1,00,000 in the month of June 2025. He reversed the unutilized amount of wrongly availed ITC standing in credit ledger on 30th September, 2025 and paid the utilized amount of ITC by cash. The GST rate is 18%. Calculate the interest payable under the applicable GST law, if Mr. Ranjan filed:

(a) Form GSTR-3B for the month of June 2025 on 19 July, 2025.

(b) Form GSTR-3B for the month of July 2025 was filed on 25 August, 2025.

(Note: The due date of filing of GSTR-3B is 20th day of the following month. But the due date of filing of GSTR-3B was extended to 22nd August, 2025 for the month of July 2025)

Solution

Output tax liability for the month of July, 2025 = ₹ 5,00,000 x 18% = ₹ 90,000.
Mr. Ranjan has utilized wrongly availed ITC amounting to ₹ 90,000 for discharging this tax liability while filing GSTR-3B for the month of July 2025.
In case of wrongful availment and utilization of ITC, the interest shall be calculated on the amount of ITC wrongly availed and utilised, for the period starting from the date of utilisation of such wrongly availed ITC till the date of reversal of such credit or payment of tax in respect of such amount at the specified rate.
No interest is payable for ₹ 10,000 since it was not utilized even though wrongly availed.
The date of utilisation of such ITC shall be taken to be earlier of the following:-
(a) Due date of filing of return [22nd August, 2025]

or

(b) Actual date of filing of return [25th August, 2025].
i.e. 22nd August, 2025
Amount of ITC wrongly availed and utilized = ₹ 90,000
Date of utilization of wrongly availed ITC
= 22nd August, 2025 Date of payment of tax = 30th September, 2025
Period of delay = 23rd August, 2025 to 30th September, 2025 (Both days inclusive)
= 39 days
Rate of interest - 18% Interest will be as follows:
= ₹ 90,000 x 18% x 39/365
= ₹ 1,731 (rounded off) [₹ 865 each under CGST and SGST]

Illustration 28 [RTP Jan 2026]

Mr. Prithviraj, registered under GST, is engaged in supplying services (as discussed in the table below) in Maharashtra. He has furnished the following information with respect to the services provided/ received by him, during the month of February:

S. No.	Particulars	Amount (₹)
(i)	Carnatic music performance given by Mr. Prithviraj to promote a brand of readymade garments	1,40,000
(ii)	Outdoor catering services availed for a marketing event organised for his prospective customers	50,000
(iii)	Services of transportation of students provided to Subhaskar College providing education as part of a curriculum for obtaining a recognised qualification	1,00,000
(iv)	Legal services availed for official purpose from an advocate located in Gujarat	1,75,000
(v)	Services provided to Wealth Bank as a business correspondent with respect to accounts in a branch of the bank located in urban area	2,00,000
(vi)	Recovery agent's services provided to a car dealer	15,000
(vii)	General insurance taken on a car (seating capacity 5) used for official purposes	40,000

Note:

a) Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively.
b) All inward and outward supplies are exclusive of taxes, wherever applicable.
c) All the conditions necessary for availing the ITC have been fulfilled.
d) All the transactions mentioned above are Intra-State unless information for determination of place of supply is given.
e) The turnover of Mr. Prithviraj was ₹ 2.5 crore in the previous financial year.

Compute the net GST payable in cash, by Mr. Prithviraj for the month of February.

Solution

Computation of GST payable

Particulars	Value of supply (₹)	CGST @ 9% (₹)	SGST @ 9% (₹)	IGST @ 18% (₹)
GST payable under forward charge				
Carnatic music performance given to promote a brand of readymade garments [Carnatic music performance by Mr. Prithviraj is not exempt from GST even though the consideration charged does not exceed ₹ 1,50,000 since said performance has been made by him as a brand ambassador.]	1,40,000	12,600	12,600	Nil

Services of transportation of students provided to Subhaskar College [Services of transportation of students provided to an educational institution other than an institution providing pre-school education or education up to higher secondary school, are not exempt.]	1,00,000	9,000	9,000	Nil
Services provided to Wealth Bank as a business correspondent [Services provided by a business correspondent to a banking company are not exempt when such services are provided with respect to accounts in its urban area branch.]	2,00,000	18,000	18,000	Nil
Services provided as a recovery agent [Tax is payable under forward charge since recovery agent's services are being provided to a person other than banking company/financial institution/ non-banking financial company.]	15,000	1,350	1,350	Nil
Total GST payable under FCM (A)		40,950	40,950	Nil
GST payable under reverse charge				
Legal services availed from an advocate [Legal services received by a business entity with aggregate turnover in the preceding financial year exceeding threshold limit for registration (₹ 20 lakh) are not exempt and tax on the same is payable under reverse charge. Further, since place of supply is Maharashtra, being the location of registered person, thus same is an Inter-State supply.]	1,75,000	Nil	Nil	31,500
Total GST payable under RCM (B)		Nil	Nil	31,500
Total GST payable [(A)+(B)]		40,950	40,950	31,500

Computation of total ITC available

Particulars	Value of supply (₹)	CGST @ 9% (₹)	SGST @ 9% (₹)	IGST @ 18% (₹)
Outdoor catering services availed [ITC on outdoor catering services is blocked except when such services are (i) used by the taxpayer who is in the same line of business or (ii)	50,000	Nil	Nil	Nil

provided by the employer to its employees under a statutory obligation.]				
Legal services availed [ITC is available as said services are used in course or furtherance of business.]	1,75,000	Nil	Nil	31,500
General insurance taken on a car (seating capacity 5) used for official purposes	40,000	Nil	Nil	Nil
Total ITC Available		Nil	Nil	31,500

Computation of net GST payable in cash

Particulars	CGST @ 9% (₹)	SGST @ 9% (₹)	IGST @ 18% (₹)
GST payable under forward charge	40,950	40,950	Nil
Less: ITC of IGST	(15,750) IGST	(15,750) IGST	-
	25,200	25,200	Nil
Add: GST payable under reverse charge in cash [Tax payable under reverse charge, being not an output tax, cannot be set off against ITC and thus, will have to be paid in cash.]	Nil	Nil	31,500
Net GST payable in cash	25,200	25,200	31,500

Illustration 29 [PYQ Sep 2025]

"Rule 86B of the CGST Rules, 2017 impose restrictions on the use of amount available in Electronic Credit Ledger if the value of taxable supply is more than ₹ 50 lakh in the month." Read the above statement with reference to provision of Input Tax Credit (ITC) and discuss in brief the nature of restriction imposed under this Rule 86B and also list out the exceptions of this rule.

Note: Detailed discussion of exceptions is not required.

Solution

As per rule 86B of the CGST Rules, 2017, a registered person cannot use ITC to discharge the output tax liability in excess of 99% of such tax liability. Thus, amount available in electronic credit ledger shall be utilized only to the extent of 99% of the output tax liability while discharging such tax liability. Minimum 1% of the output tax liability needs to be discharged from electronic cash ledger.

Exceptions to rule 86B are as under:-

1. Payment of income tax of more than ₹ 1 lakh has been made in each of the last two FYs for which the time limit to file original income tax return has expired.
2. Receipt of Refund of ITC of more than ₹ 1 lakh in the preceding FY on account of unutilized ITC.
3. Payment of output tax liability through electronic cash ledger in excess of 1% of total output tax liability, applied cumulatively, upto the said month in the current FY.

4. **Specified registered persons (Government Department; or a Public Sector Undertaking; or a local authority; or a statutory body).**

Illustration 30 [PYQ Sep 2025]

Mr. Karan, a registered supplier in Kochi (Kerala State) has provided the following information of supply received/made during the month of February, 2026:

S. No.	Particulars	Amount (₹)
(i)	On 5th February 2026 Supplied goods to Jaara Enterprises, an unregistered partnership firm in Bikaner, Rajasthan. Discount of 10% offered to Jaara Enterprises on this invoice price of ₹ 2,00,000 as per pre agreement but not recorded in the invoice. Discount given for this invoice by way of credit note on 28th February 2026.	2,00,000
(ii)	Made a supply of machinery to Cool & Co. registered in the State of Kerala. The machinery was installed at Factory site of Cool & Co. in the State of Tamil Nadu as per agreement.	6,00,000
(iii)	Provided supply of online educational journals on monthly basis to St. Peters High School, situated in the State of Kerala.	25,000
(iv)	Provided renting of his own commercial property situated at Thrissur (Kerala) to Safe Volt Limited of Kerala, in which he is an independent director.	70,000
(v)	Supplied a consignment of Office uniform to Rasool Tea Estate situated at Munnar (Kerala).	2,00,000
(vi)	Payment made to Mr. Manish, a contractor of Bengaluru for construction of staff quarters within the factory premises at Kochi. Staff quarters capitalised in the books and no depreciation charged.	1,25,000

Mr. Karan provided the following additional information:

1. During the month, supply for ₹ 13,000 was made against redemption of foods coupons issued during December 2025 for use against specific Pizza available in a food court run by Mr. Karan in Kochi, coupons were valid till 28.02.2026.
2. In respect of supply made to Munnar, being a hill station, local levy of Green tax of ₹ 10,000 was charged by Mr. Karan in the invoice made to Rasool Tea Estate.
3. Mr. Karan was advised by his accountant that since he is a director in the company to whom he let out his property, GST is to be paid by the company under Reverse Charge Mechanism [RCM].
4. Assume rate of CGST, SGST and IGST are 9%, 9% and 18% respectively for both inward and outward supplies of goods and services, except where otherwise provided.
5. All the amount given above in the table are exclusive of GST and Green Tax or any other tax wherever applicable.
6. Subject to the information given above, conditions for availing ITC have been complied with.
7. All the inward and outward supplies to be considered in the course of Intra-State except where information provided to determine the Place of supply.
8. Assume all the inward supplies used for the taxable outward supplies only.

9. There was opening balance of Input Tax Credit (ITC) of ₹ 1,50,000 of IGST and ₹ 30,000 of CGST and Nil of SGST.

From the information given above, you are required to compute the net minimum GST liability payable in cash after deduction of ITC by Mr. Karan for the month of February 2026.

Note: Correct relevant legal provision and individual tax amount (if any) for each item should form part of your answer.

Solution

Computation of minimum net GST liability payable in cash by Mr. Karan for the month of February 2026

Particulars	Value	CGST	SGST	IGST
Supplied goods to Jaara Enterprises [Inter State supply as the place of supply is Rajasthan being the location of the goods at the time when the movement of goods terminates. Further, post supply discount of ₹ 20,000 (₹ 2,00,000 × 10%) is deductible from value of supply since such discount is as per pre-agreement.]	1,80,000 [2,00,000-20,000]	-	-	32,400 [1,80,000 x 18%]
Supply of machinery to Cool & Co. [Inter-State supply as place of supply is Tamil Nadu being the place of installation of machinery.]	6,00,000	-	-	1,08,000 [6,00,000 x 18%]
Supply of online educational journals to St. Peters High School	25,000	2,250 [25,000 x 9%]	2,250 [25,000 x 9%]	-
[Supply of online educational journals to an institution providing services by way of education up to higher secondary school is taxable and not exempt. Further, it's an intra-State supply as place of supply is Kerala being location of recipient.]				
Renting of commercial property to Safe Volt Limited [Intra-State supply as place of supply is Kerala being location of immovable	70,000	6,300 [70,000 x 9%]	6,300 [70,000 × 9%]	-

property. Further, it is taxable under forward charge and not payable under reverse charge since Mr. Karan rented his commercial property in his personal capacity and not in the capacity of a director.				
Further, it is taxable under forward charge since Mr. Karan - supplier of services of renting of commercial property – is a registered person.]				
Supply of consignment of office uniform to Rasool Tea Estate	2,10,000 [2,00,000 + 10,000]	18,900 [2,10,000 x 9%]	18,900 [2,10,000 x 9%]	-
Supply against redemption of foods coupons issued during December 2025	13,000	-	-	
Total output tax liability		27,450	27,450	1,40,400
Less: ITC available [Refer Working Note below] IGST credit is first utilized for payment of IGST and then for payment of SGST			(9,600)	(1,40,400)
CGST credit is utilized for payment of CGST liability. Remaining CGST credit cannot be utilized for payment of SGST		(27,450)		
Minimum net GST liability payable in cash		Nil	17,850	Nil

Working Note:
Computation of ITC available for set off

Particulars	Value	CGST	SGST	IGST
Opening ITC	--	30,000	Nil	1,50,000
Payment made for construction of staff quarters within the factory premises [ITC in respect of works contract services used for construction of an immovable property (other than plant and machinery) is blocked]	1,25,000	Nil	Nil	-
Total		30,000	Nil	1,50,000

Illustration 31 [PYQ Sep 2025]

M/s. ABC Corporation Pvt. Ltd., a registered dealer of Mumbai furnishes you following information for the month of February 2026:

S. No.	Particulars	Amount (₹)
(i)	Intra-State sale of taxable goods (₹ 50,000 was received as advance in January, 2026 out of the total amount of ₹ 2,00,000)	₹ 2,00,000
(ii)	Provided accommodation Services in Mumbai with charges per person per month of ₹ 18,000. (The accommodation is supplied for a minimum continuous period of 99 days) (It is Intra-State transaction)	₹ 2,34,000
(iii)	Received for services by way of pure labour contracts for repairing a single residential unit otherwise than as a part of residential complex (It is Intra-State transaction)	₹ 50,000
(iv)	Professional fees paid for taxable service to Ms. Udan Mehta located in a non-taxable territory (It amounts to Inter-State transaction)	₹ 70,000

Other Information:

1. Turnover of M/s. ABC Corporation Pvt. Ltd. was ₹ 2 Crore in the previous financial year.
2. All the amounts given above are exclusive of GST.

Compute the GST liability of M/s. ABC Corporation Pvt. Ltd. for the month of February 2026. Assume the rates of CGST @ 9%, SGST 9% and IGST @ 18%.

Note: Correct legal provision and individual tax amount (if any) for each item should form part of your answer.

Solution

Computation of the GST liability of M/s. ABC Corporation Pvt. Ltd. for the month of February 2026

Particulars	Value (₹)	CGST @ 9% (₹)	SGST @ 9% (₹)	IGST @ 18% (₹)
GST liability under forward charge				
Intra-State supply of taxable goods [In case of supply of goods, GST is not payable at the time of receipt of advance, but at the earlier of the date of issue of invoice or last date of issue of invoice (when the goods are removed).]	2,00,000	18,000 [2,00,000 x 9%]	18,000 [2,00,000 x 9%]	Nil
Accommodation services provided in Mumbai	2,34,000	Nil	Nil	-

[Exempt since supply of accommodation services having value of supply less than or equal to ₹ 20,000 per person per month is exempt provided it is supplied for a minimum continuous period of 90 days.]				
Intra-State supply of services by way of pure labour contracts for repairing a single residential unit	50,000	4,500 [50,000 x 9%]	4,500 [50,000 x 9%]	-
GST liability under forward charge [A]		22,500	22,500	Nil
GST liability under reverse charge				
Professional fees paid to Ms. Udan Mehta located in a non- taxable territory	70,000	-	-	12,600 [70,000 x 18%]
Total GST liability = [A] + [B]		22,500	22,500	12,600

Illustration 32 [RTP May 2026]

M/s. Nivedita Private Limited is a manufacturer of Televisions at Mohali, Punjab and has a Service center at Bhatinda, Punjab. The company has taken a single registration of GST. It provides the following information for the month of November 2025:

S. No.	Particulars	Amount (₹)
	Outward Supply	
1.	Supply of televisions to M/s. Shine Electronics Ltd. located at Ludhiana, Punjab.	20,00,000
2.	Raw material transferred to Service Centre located at Bhatinda branch.	1,80,000
3.	Received advance from M/s. New Electro Divine registered at Delhi for purchase of television	3,50,000
4.	Received advance from M/s. New Electro Divine registered at Delhi for payment of Annual Maintenance Charges (AMC) of television as M/s. New Electro Divine also undertook optional AMC of television	50,000
	Inward Supply	**Amount**
1.	Purchase of raw material from M/s. Electro Enterprises Pvt. Ltd. registered at Ludhiana, Punjab.	25,00,000
2.	Freight paid for transportation of Television to a tempo owner registered as GTA at Mohali, Punjab. Tempo owner issued invoice without any GST.	50,000

3.	Paid rent of factory and service centre to Mr. Rakesh, who is an unregistered person	1,20,000
4.	Security services received from M/s. Safety-n- Security Services, sole proprietorship firm, registered under composition scheme at Jalandhar, Punjab.	25,000

M/s. Nivedita Private Limited provided the following additional information:

1. Purchase of raw materials includes the raw material of ₹ 1,20,000 which was purchased on 10-03-2025 but the invoices were uploaded in GSTR-1 on 18-11-2025 and such details have been communicated to the recipient in Form GSTR-2B.
2. Credit Note of ₹ 80,000 (excluding GST) was issued on 30-11-2025 to M/s. Shine Electronics Ltd. against invoice of ₹ 4,20,000 issued on 10-03-2024.
3. The annual return for FY 2024-25 was filed on 30-10-2025.
4. Turnover of M/s. Nivedita Private Limited for FY 2024-25 was ₹ 160 lakh.
5. Rate of CGST, SGST and IGST is 2.5%, 2.5% and 5% in case of transporter and in other cases rate of CGST, SGST and IGST are 9%, 9% and 18% respectively for both inward and outward supply of goods and services.
6. All figures are exclusive of taxes wherever applicable.

From the information given above, you are required to compute the GST payable on outward supply, GST payable under reverse charge mechanism and input tax credit (ITC) available for the month of November, 2025. Provide supporting explanatory notes for your conclusion wherever required.

Solution

Computation of GST payable on outward supply

Particulars	Value	CGST (₹)	SGST (₹)	IGST (₹)
Supply of televisions to M/s Shine Electronics Ltd. located at Ludhiana, Punjab [The credit note issued on 30.11.2025 is invalid as valid credit note can be issued till 30th November 2024 and thus, GST Liability will not be reduced in respect to such credit Note.]	20,00,000	1,80,000	1,80,000	Nil
Transfer of raw material to Service Centre located at Bathinda branch. [Transfer of goods between branches having same GST registration is NOT a supply]	1,80,000	Nil	Nil	
Advance received from M/s New Electro Divine for purchase of television [GST on advance received for supply of goods of ₹ 3,50,000 will be payable at the time of issuance of invoice.]				

Received advance from M/s. New Electro Divine for undertaking optional AMC of television	50,000	Nil	Nil	9,000
GST Payable on outward supplies		1,80,000	1,80,000	9,000

GST Payable under Reverse Charge Mechanism

Particulars	Value (₹)	CGST (₹)	SGST (₹)	IGST (₹)
Freight paid for Transportation of Television to a registered tempo owner who issued invoice without any GST. (RCM is applicable if GTA provides service of transportation of goods by road to a body corporate.)	50,000	1,250	1,250	Nil
Paid rent of factory and service centre to Mr. Rakesh who is an unregistered person (Renting of immovable property other than residential dwelling from an URP to a registered person is taxable under RCM)	1,20,000	10,800	10,800	Nil
Security services received from M/s Safety-n- Security Services registered under composition scheme at Jalandhar, Punjab.	25,000	2,250	2,250	Nil
Total GST payable under RCM		14,300	14,300	

Input Tax Credit

Particulars	Value (₹)	CGST (₹)	SGST (₹)	IGST (₹)
Purchase of raw material from M/s Electo Enterprises Pvt. Ltd. [ITC on purchase of raw materials of ₹ 1,20,000 is not allowed as invoice for supply of goods uploaded after filing of Annual Return for FY 2024-25]	23,80,000	2,14,200 [23,80,000 x 9%]	2,14,200 [23,80,000 x 9%]	
ITC is available on rent paid under reverse charge mechanism	1,20,000	10,800	10,800	Nil
ITC is available on freight paid for transportation of television under reverse charge mechanism	50,000	1,250 [50,000 x 2.5%]	1,250 [50,000 x 2.5%]	Nil
ITC is available on receipt of security services	25,000	2,250	2,250	Nil
Total ITC Available		2,28,500	2,28,500	

Illustration 33 [PYQ Jan 2026]

TTY Pvt. Ltd, a registered supplier in Bengaluru has provided the following information of supply received/made during the month of June, 2026:

S. No.	Outward Transactions	Amount (₹)
(i)	Supply of taxable goods to Mr. Sudhir of Hubli (Karnataka) registered under Composition scheme in the state of Karnataka	4,00,000
(ii)	Hiring receipts for supply of Industrial heavy machines along with supply of machine operators. (out of ₹ 9,00,000, value of ₹ 2,25,000 belongs to supply of operators, but not separately charged). As per policy of the industry, these machines are always hired out along with operators, and operators are also supplied only when machines hired out with single price.	9,00,000
(iii)	Renting of dumpers including driver given for transport of minerals within the mining area in Jharkhand for a period of 18 months to Vanshika Builders, registered in the state of Bihar.	10,50,000
(iv)	Stock transferred without consideration to its branch in Shimoga, Karnataka. Branch has same GSTIN. (Value of goods as per Valuation Rules under GST law is ₹ 2,50,000)	-
(v)	Given on hire 26 motor vehicles (seating capacity of 14 persons excluding driver) to Karnataka State Road Transport Corporation (KSRTC)	12,00,000
	Inward Transactions	**Amount (₹)**
(i)	Purchased 4 electric scooters with engine capacity of 23 cc for use by its employees for commuting within the office premises and nearby client locations. Scooters were supplied in Bengaluru (Karnataka) by a GST-registered dealer located in Rajasthan	4,80,000
(ii)	Mr. Vijay (Managing Director) went to Surat, Gujarat for a business meeting in June 2026 and stayed for 3 days in "Royal Residency Hotel" registered in the state of Gujarat. Hotel accommodation charges paid ₹ 18,000 (taxable value, excluding GST) for the stay.	18,000

Additional Information:

1. In the month of December, 2025, company had availed services in an inter-State transaction with a taxable value of ₹ 6,00,000; This transaction was liable to tax under reverse charge. Payment for the same to the supplier was not made till the current month (overdue for 181 days during June, 2026). However, tax due under the said transaction was paid to Government in December 2025 and input tax credit availed in the same month.
2. On 11th June 2026, received a debit note of ₹ 2,50,000 in respect of inward intra-State taxable supplies of service. The underlying invoice was issued in the month of October, 2024 in which it was found later that the supplier had erroneously declared a value which is less than the actual value of services provided.
3. All the figures are exclusive of GST wherever applicable

4. All the conditions necessary for availing the input tax credit have been fulfilled and also that details of GST paid on inward supplies are available in GSTR 2B. There was no Opening balance of input tax credit at the beginning of the month
5. Assume that all the inward supplies are used only for outward taxable supply
6. Wherever details for determination of Place of Supply are not given in the question, it shall be taken as Inter-State transaction
7. Assume the applicable rates of GST as under:-
   - Service of hiring of heavy machine IGST 12%, CGST 6% and SGST 6%
   - Service of Supply of machine operator without heavy machines IGST 18%, CGST 9% and SGST 9%
   - All other inward and outward supply, IGST 18%, CGST 9% and SGST 9%

You are required to compute the net minimum GST liability of TTY Pvt. Ltd to be paid in cash if any, for the month of June, 2026 after utilizing input tax credit.

Note: Calculate tax for each point separately and Legal explanations for each point should form part of your answer including Place of provision of supply.

Solution

Computation of net minimum GST liability of TTY Pvt. Ltd. to be paid in cash, for the month of June, 2026

	Particulars	Value	CGST (₹)	SGST (₹)	IGST (₹)
	Computation of outward tax liability				
(i)	Supply of taxable goods to Mr. Sudhir [It is an intra- State supply since place of supply is Karnataka being location of goods at the time at which movement terminates for delivery to recipient.]	4,00,000	36,000 [4,00,000	36,000 [4,00,000	-
(ii)	Hiring of industrial heavy machines with operators [Being composite supply wherein the principal supply is the hiring out of the heavy machine, GST rate of principal supply being 12% will apply.]	9,00,000			1,08,000
(iii)	Renting of dumpers including driver [Taxable / Not specifically exempt	10,50,000			1,89,000 [10,50,00 x 18%]

	as same is service of renting of transport vehicles with operator and not service of transportation of goods by road. Further, it is an inter-State supply since place of supply of services provided to the registered person is Bihar being location of such registered person.]				
(iv)	Stock transfer to branch in Karnataka [Such transfer is not a supply as the branch has the same GSTIN as that of the head office and thus, is not a distinct person.]	Nil	-	-	
(v)	Hiring 26 motor vehicles to KSRTC. [Services by way of giving on hire to a STU, a motor vehicle meant to carry more than 12 passengers is exempt.]	12,00,000	Nil	Nil	-
	Total output tax liability		36,000	36,000	2,97,000
	Less: Total Eligible ITC [Refer Working Note]				
	IGST credit is set off against IGST liability				(86,400)
	CGST and SGST credit is set off against CGST and SGST liability respectively		(22,500)	(22,500)	
	Net GST payable in cash		13,500	13,500	2,10,600

Working Note:

Computation of total ITC available for set off

	Particulars		CGST	SGST	IGST

			(₹)	(₹)	(₹)
(i)	Purchased 4 electric scooters with engine capacity of 23 cc [Vehicle with less than 4 wheels fitted with engine capacity of upto 25cc is not a motor vehicle and thus, ITC on same is not blocked.	4,80,000	-	-	86,400
	Further, it is an inter-State supply since place of supply is Karnataka being location of goods at the time at which movement terminates for delivery to recipient and supplier is in Rajasthan.]				
(ii)	Hotel charges paid for accommodation. [It is an intra-State supply since place of supply is Surat/ Gujarat being the location of immovable property. However, ITC of the same will not be available since the recipient of said intra-State supply is located in a different State than that of place of supply.]	18,000	-	-	
(iii)	Availment of credit on services for which payment is overdue for 181 days [Reversal of credit availed is not required since the condition of payment of value of supply plus tax within 180 days does not apply to supplies on which tax is payable under reverse charge.]	6,00,000	-	-	
(iv)	Debit note received in respect of inward intra-	2,50,000	22,500	22,500	

	State taxable supplies of service. [ITC on debit notes issued in a FY can be availed in the month of issue of such debit note or at any time till 30th November of the succeeding FY or date of filing of annual return, whichever is earlier, irrespective of the date of original invoice/ supply.]				
	Total input tax credit		22,500	22,500	86,400

Illustration 34 [PYQ Jan 2026]

Mr. A, a registered person of Haryana has filed his GSTR 3B return for the month of April 2026 on 10th June 2026. The due date of filing the GSTR 3B return was 20.05.2026. The following details were provided:

Sl. No	Particulars
(i)	Deposited ₹ 80,000 in his Electronic Cash Ledger on 18th May 2026
(ii)	Debited the electronic cash ledger on 10th June 2026.
(iii)	No proceedings under Section 73, 74 or 74A were initiated.
(iv)	Rate of interest notified u/s 50(1) is 18% p.a.
(v)	Tax payable for the month: ₹ 2,00,000 is paid by • Utilisation of ITC of ₹ 1,20,000 • ₹ 80,000 through Electronic Cash Ledger

You are required to calculate the interest payable with reference to Rule 88B (1) of the CGST Rules, 2017.

Further, calculate the amount of Interest payable if the amount of ₹ 80,000 is deposited in Electronic Cash Ledger on 24.05.2026.

Solution

In case of delayed payment of tax, interest is payable from the day succeeding the due date of payment of tax till the date of payment of tax.

However, where the supplies made in a period are declared in the return for said period filed after due date, interest is calculated on tax paid by debiting electronic cash ledger.

Accordingly, in given case, interest is payable on ₹ 80,000, viz. tax paid by debiting electronic cash ledger.

No interest is payable on the amount of ITC utilized for payment of tax.

Further, where any amount is credited in Electronic Cash Ledger on/ before due date of return, but is debited therefrom for tax payment while filing said return after due date, it is not considered while calculating such interest, if said amount is lying from due date till date of debit at the time of filing return.

Accordingly, where ₹ 80,000 is deposited in electronic cash ledger on 18th May, 2026, i.e. before due date of filing return of April, 2026 but debited while filing return of April, 2026 on 10th June, 2026, said amount shall not be taken into account for interest calculation as per above provisions.

Thus, interest payable is NIL on (₹ 2,00,000-₹ 1,20,000 -₹ 80,000).
However, where ₹ 80,000 is deposited in electronic cash ledger on 24th May, 2026, i.e. after due date of filing return of April, 2026, interest shall be calculated on ₹ 80,000 as follows:
Period of delay is from 20.05.2026 to 10.06.2026 = 21 days
Interest = ₹ 80,000 x 18% × 21/365 = ₹ 828 (rounded off)

Illustration 35 [PYQ May 2024]

Evershine Pvt. Ltd., a GST registered supplier located in Jaipur, Rajasthan is engaged in taxable supply of packaging goods and consultancy services. It provides following details of various activities undertaken during the month of September, 2025:

(A) Details of Outward Supplies:

1) Supply of goods of ₹ 18,00,000 to Vaidehi Enterprises, a registered person of Udaipur, Rajasthan. Further, received ₹ 50,000 from Vaidehi Enterprises towards freight charges (as agreed to deliver the goods at Vaidehi Enterprises' premises) which was not included in above value of supply.
2) Supply of goods worth ₹ 35,00,000 to Calc. Exim, a registered person of Prayagraj, Uttar Pradesh. Further, the amount of ₹ 60,000 charged separately (not included above) from Calc. Exim on account of municipal taxes levied in relation to such outward supply.
3) Supply of services to Sunshine Ltd., a registered person in Jodhpur, Rajasthan before discount worth ₹ 6,00,000. Further, discount of ₹ 30,000 which has been given at the time of supply of service and duly recorded in the invoice.
4) It delivered the goods worth ₹ 2,00,000 to Jeevan Solutions, a registered person located at Bikaner, Rajasthan on the direction of Raghu Enterprise, a registered person of Mumbai, Maharashtra and tax invoice was issued by Evershine Pvt. Ltd. to Raghu Enterprise of Mumbai, Maharashtra.

(B) Details of Inward Supplies:

1) Purchased raw material goods worth ₹ 20,00,000 from PQR Ltd; a GST registered dealer, located at Kanpur, Uttar Pradesh. Goods worth ₹ 1,00,000 out of total purchases were not received during the month.
2) Purchased machinery for manufacturing process worth ₹ 2,00,000 from MPQ Pvt. Ltd., a GST registered dealer, located at Bengaluru, Karnataka. Company has claimed depreciation under Income Tax Act 1961 on full value of the machine, including the GST component.
3) Purchased truck worth ₹ 15,00,000 from GST registered dealer, located at Ajmer, Rajasthan for transportation of its goods. GST rate on truck is: CGST 14%, SGST 14%, IGST 28%.
4) Purchased car (having seating capacity of 7 persons) costing to ₹ 10,00,000 excluding GST from Mihir Automobiles Pvt. Ltd., a GST registered dealer, located at Ajmer, Rajasthan for use of its director for official purpose. GST rate on car: CGST 14%, SGST 14%, IGST 28%
5) Purchased goods worth ₹ 5,00,000 from DEF Buildwell Pvt. Ltd., a registered person of Jaipur, Rajasthan for construction of an additional floor of factory building, of Evershine Pvt. Ltd.

Opening balance of Input tax credit as on the beginning of September 2025-CGST ₹ 20,000, SGST ₹ 50,000 and IGST ₹ 75,000.

Rate of GST applicable on both inward and outward supply of goods & services: CGST 9%, SGST 9% and IGST @18%, except where otherwise provided.

Notes:

1) **All the figures mentioned above are exclusive of taxes.**
2) **Subject to the information given above, conditions necessary for claiming ITC were complied with.**
3) **All inward supplies are used for taxable goods only.**
4) **Brief and suitable notes should form part of your answer.**

Calculate the amount of net minimum GST payable in cash by Evershine Pvt. Ltd. for the month of September, 2025.

Solution

Computation of minimum net GST payable in cash by Evershine Pvt. Ltd. for the month of September 2025

Particulars		Value of supply (₹)	CGST @ 9% (₹)	SGST @ 9% (₹)	IGST @ 18% (₹)
Output tax payable					
Intra-State supply of goods to Vaidehi Enterprises [Since arranging freightis the liability of supplier, it is a composite supply and thus, freight charges are added to the value of principal supply.]	Place of supply is location where movement of goods terminates	18,50,000	1,66,500	1,66,500	**Nil**
Inter-State supply to Calc. Exim [Municipal tax is includible in value since it is a tax levied under a law other than GST law and is charged separately.]		35,60,000	Nil	Nil	**6,40,800**
Intra-State supply to Sunshine Ltd. [Place of supply is location of recipient. Discount given at the time of supply is deductible		**5,70,000**	**51,300**	**51,300**	**Nil**

from the value since duly recorded in the invoice.]				
Inter-State supply to Raghu Enterprise [Place of supply in case of bill to ship model is principal place of business of a third person at whose instructions the goods are delivered by supplier to recipient. Thus, it is considered as Inter State supply.]	2,00,000	Nil	Nil	**36,000**
Total output tax		2,17,800	2,17,800	**6,76,800**
Less: ITC available [IGST credit to be utilized first towards payment of IGST.]		**Nil**	**Nil**	**(4,17,000)**
CGST credit utilized for payment of CGST and IGST in that order		**(2,17,800)**	**Nil**	**(12,200)**
SGST credit utilized for payment of SGST and IGST in that order		**Nil**	**(2,17,800)**	**(42,200)**
Minimum net GST payable in cash		**Nil**	**Nil**	**2,05,400**

Working Note:

Computation of ITC available

Particulars		Value (₹)	CGST (₹)	SGST (₹)	IGST (₹)
Opening balance			**20,000**	**50,000**	**75,000**
Inter-State purchase of raw material [ITC is not available on goods worth ₹ 1,00,000 since Not received during the month.]	Place of supply is location where movement of goods terminates.	**19,00,000**	**Nil**	**Nil**	**3,42,000 [19,00,000 × 18%]**
Purchase of machinery		**2,00,000**	**Nil**	**Nil**	**Nil**
[ITC is not available since depreciation has been claimed on the GST component.]					

Intra-State Purchase of truck [ITC on motor vehicles used for transportation of goods is available.]		15,00,000	2,10,000 [15,00,000 × 14%]	2,10,000 [15,00,000 × 14%]	Nil
Purchase of car [ITC on motor Vehicles for transportation of persons with seating capacity up to 13 persons (including driver), is blocked, except when used for specified purposes.]		10,00,000	Nil	Nil	Nil
Purchase of goods for construction of an additional floor [ITC on goods used in construction of immovable property (other than plant or machinery) on one's own account is blocked if capitalized in the books.]		5,00,000	Nil	Nil	Nil
Total			2,30,000	2,60,000	4,17,000

Illustration 36 [PYQ May 2024]

GSTR 3B for the month of January 2026 has been filed by M/s Avisha Limited, a registered person, within the due date prescribed by the CGST Act 2017 which is on February 20th, 2026. It came to the notice of the Co. that tax due for the month of January, 2026 has been paid short by ₹ 16,000. The short fall of ₹ 16,000 has been paid through cash ledger and credit ledger at the time of filing GSTR 3B for the month of February 2026 on March 20th, 2026 in the following manner:

Particulars	Cash Ledger	Credit Ledger

Shortfall	₹ 12,000	₹ 4,000

Assume that electronic cash ledger and credit ledger carry sufficient balance for the above short fall.

1) You are required to calculate the amount of interest payable if any under section 50 of the CGST Act 2017 and rule 88B of the CGST rules 2017.
2) Give the effect if GSTR3B for the month of January 2026 had been filed belatedly on March 20, 2026 and all other conditions remaining same.

Calculation should be rounded off to nearest rupee.

Solution

Interest is payable in case of delayed payment of tax @ 18% per annum from the date following the due date of payment to the actual date of payment of tax.

Above interest is payable on the net tax liability paid in cash only if return in Form GSTR-3B for a tax period has been filed after the due date to furnish such return. Otherwise, interest is payable on gross tax liability.

1) Since Avisha Limited has furnished Form GSTR-3B for the month within the prescribed due date, interest is payable on the gross tax liability deposited with a delay of 28 days [21.02.2026 - 20.03.2026 (both inclusive)] as under:
   = ₹ 16,000 x 18% x 28/365 = ₹ 221 (rounded off)
2) If Avisha Limited has filed Form GSTR-3B for the month after the due date, i.e. on 20.03.2026, interest is payable on the net tax liability paid through Electronic Cash Ledger only, for a delay of 28 days, as under:
   = ₹ 12,000 x 18% x 28/365 = ₹ 166 (rounded off)

Illustration 37 [RTP May 2025]

Surya is engaged in providing a bouquet of goods and services. It is registered in Jaipur, Rajasthan. It provides the following information for the month of January:

S. No.	Particulars	Amount
(i)	Organised a business exhibition in Gujarat for Jignesh Industries, registered in Surat, Gujarat	20,00,000
(ii)	Provided accommodation services to 10 CA students (originally from outside Rajasthan) in a hostel – Surya Homes, owned by it. Surya Homes is located in Jaipur, Rajasthan. [Hostel accommodation charges are ₹ 22,000 per student per month. As per agreement, minimum period of stay of the students in hostel is 4 months.]	2,20,000
(iii)	Performed the carnatic music to promote a brand of readymade garments – Rigley Garments, registered in Udaipur, Rajasthan.	1,45,000
(iv)	Intra-State services provided as a business correspondent of Manimani Bank, registered in Rajasthan, with respect to accounts in its Jaipur city branch.	1,20,000
(v)	Rented a commercial property in Jaipur, Rajasthan to Ganga Ltd., a supplier of goods and services registered in Jodhpur, Rajasthan. Surya is a director in Ganga Ltd.	3,00,000

(vi)	Sponsored a Business Summit organized in Bikaner, Rajasthan, by Associated Chamber of Commerce and paid a sponsorship fee of 5,00,000 to Associated Chamber of Commerce, registered in Jaipur, Rajasthan.	
(vii)	Received the services of transportation of goods by road from Sindhu Transporters, an unregistered Goods Transport Agency of Jodhpur, Rajasthan.	2,00,000
(viii)	Taken cars on rental basis from Ajay Limited, registered in Jodhpur, Rajasthan.	1,50,000

Notes:

1. Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively for both inward and outward supply of goods and services except the car rental service and service of transportation of goods by GTA, on which the rates of CGST, SGST and IGST are 2.5%, 2.5% and 5% respectively.
2. All the amounts given above are exclusive of taxes, wherever applicable.
3. There was no opening balance of the ITC for the relevant period.

From the information given above, you are required to compute the minimum net GST liability payable in cash (CGST, SGST or IGST, as the case may be) for the month of January for Surya.

Solution

Computation of minimum net GST payable in cash for the month of January by Surya

Particulars	Amount	CGST	SGST	IGST
GST payable under forward charge				
Business exhibition organized for Jignesh Industries	20,00,000	-	-	3,60,000
Provided accommodation Services to CA students in hostel	2,20,000	19,800	19,800	
Carnatic music performance	1,45,000	13,050	13,050	
Business correspondent services provided	1,20,000	10,800	10,800	
Renting of commercial property to Ganga Ltd.	3,00,000	27,000	27,000	
Total output tax liability (A)		70,650	70,650	3,60,000
Less: ITC available				
Business Summit sponsored [Since recipient of sponsorship services is an individual (Surya), tax is not payable under reverse	5,00,000	45,000	45,000	

charge. It is an intra-State supply since place of supply of sponsorship services is location of recipient, i.e. Rajasthan. Further, ITC is available on said service since it is used in course or furtherance of business.]				
Services of transportation of goods received from unregistered GTA [It is intra-State supply since the place of supply of services by way of transportation of goods provided to a registered recipient is location of such recipient, i.e., Rajasthan. Moreover, ITC is available on said service since it is used in course or furtherance of business.]	2,00,000	5,000	5,000	
Taken cars on rental basis from Ajay Limited. [Tax is not payable under reverse charge since the recipient, Surya is not a body corporate and supplier - Ajay Limited is a body corporate. It is an intra-State supply since place of supply of car rental services is location of recipient, i.e. Rajasthan. Further, ITC is available on said service since it is used in course or furtherance of business.]	1,50,000	3,750	3,750	
Total ITC available (B)		53,750	53,750	Nil
Net GST (A)-(B)		16,900	16,900	3,60,000
GST payable under reverse charge				
Services of transportation of goods received from unregistered GTA	2,00,000	5,000 [2,00,000 x 2.5%]	5,000 [2,00,000 x 2.5%]	

Total net GST payable in cash		21,900	21,900	3,60,000

THANK YOU